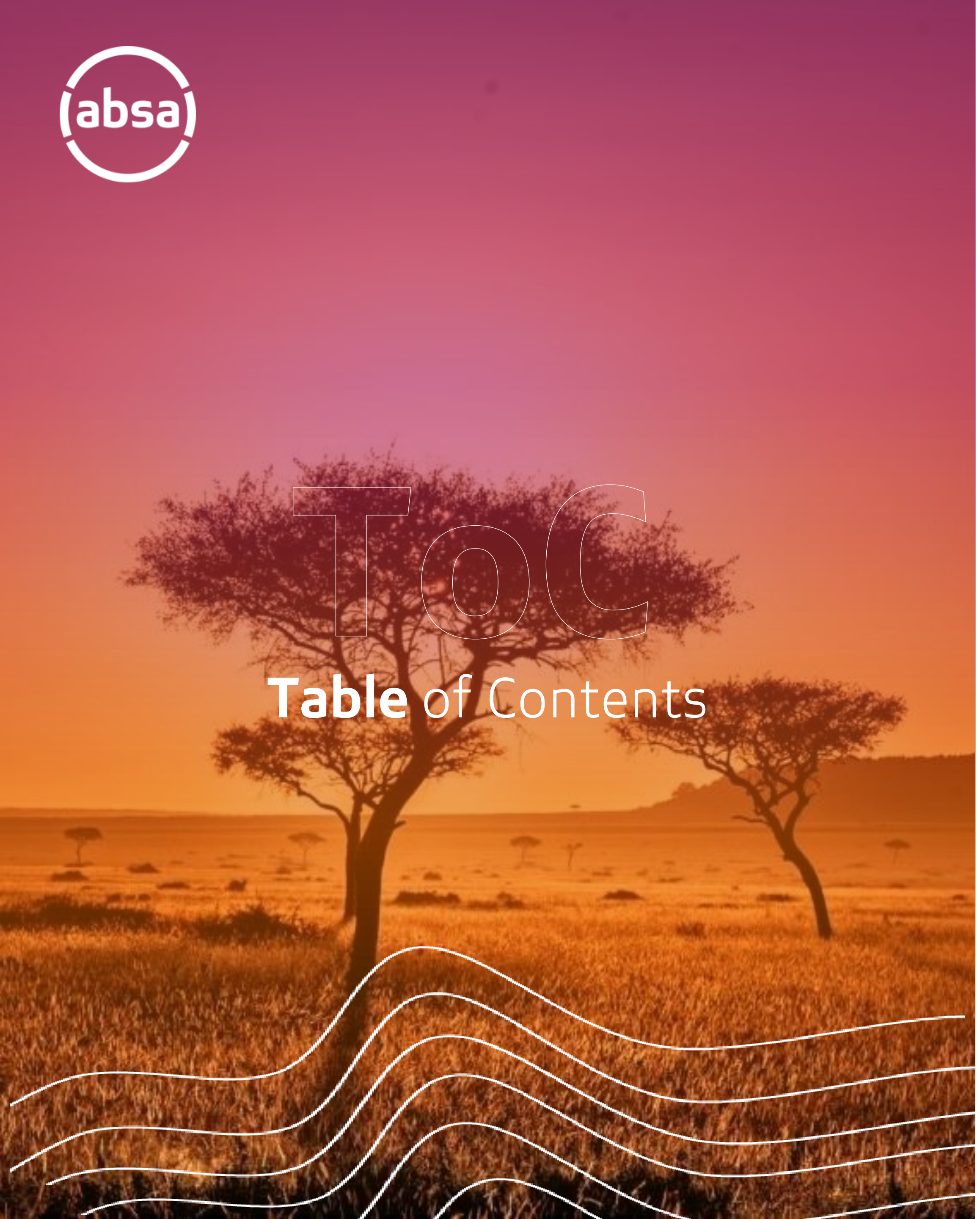
Absa Bank Kenya PLC

2020 Earnings Pack

24 March 2021



ToC
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Operating Environment & our response

Jeremy Awori –
Chief Executive Officer

COVID Response: We are navigating an uncertain operating environment, as we transition through COVID

absa

Macro-economic environment

- Kenya Shilling **depreciated by 7.7%**
- **Kes 7 trillion of public debt** (20% more than in 2019)
- **2020: GDP** Estimated at 1%
- **2021: GDP** Estimated at 4.7%
- High un-employment rate

Industry dynamics

- **NPLs** with mid- tens level
- **Government guaranteed loan schemes for SMEs** to recover from effects of the pandemic
- Reduced Transactional fees
- **Kes 1.7 trillion** restructured loans

Regulatory Environment

- Ability to **price for risk** (On-Going discussion with the regulator)
- Stable policy rate **of 7.0%**
- **Digital fees COVID19 relief program**

Our overall response

We focused on lives and livelihoods, colleague wellness and business resilience

- Capital ratios remain adequate with **about Kes 12.6bn** excess capital
- We kept our branches **100% open** to serve customers
- **Kes 50m** Absa involvement and contribution to COVID-19 fund
- **60%** of colleagues enabled to work remotely

COVID Response: Employee safety and wellness has been a top most priority

Daily Self Screening
completed by colleagues to fast track treatment and care in case of need

Distribution of PPEs
to mitigate the risk of transmission in the working environment

Enhanced our cleaning and sanitation procedures to allow for regular and thorough cleaning and disinfection of shared spaces

Wellness support partnering with wellness players for care calls to staff on overall wellbeing and help manage anxiety levels

Continuity Management
Instituted rotational teams to ensure continuity in case of adverse infection rates

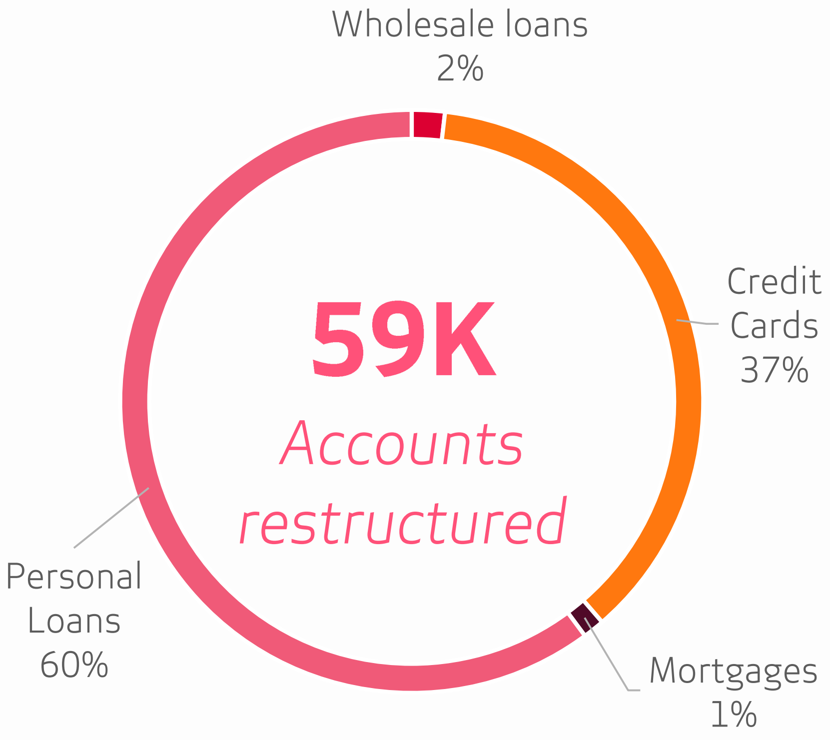
Driving productivity through digital tools
and broad based virtual methods for enhanced daily communication with colleagues

Support to kit home offices with office suitable furniture and PC's

60%
of colleagues enabled to work remotely

55%
of colleagues "permanently" working from home

COVID Response: We rolled out a comprehensive support program for our customers and clients



Repayment holiday extended to 40%+ of total loan accounts

KES62bn

of loans restructured

Representing 30% of the loan book

KES103bn

Gross lending to economy

56% to business customers

COVID Response: We elevated our focus on operations to ensure uninterrupted business continuity

Elevated
Technology and cyber surveillance to Sev1

Instituted
rotational working arrangement for back-office

100%
of branches open

99.8%
Uptime on Alternate Channels

30%
improvement in onboarding Turn Around Time

+12
improvement in our Branch NPS Score to 52

COVID Response: We focused our force for good efforts to protect lives and livelihoods

50m Absa in involvement and contribution to COVID-19 fund

4 national hospitals supplied with 210K masks – KNH, KUH and Coast General

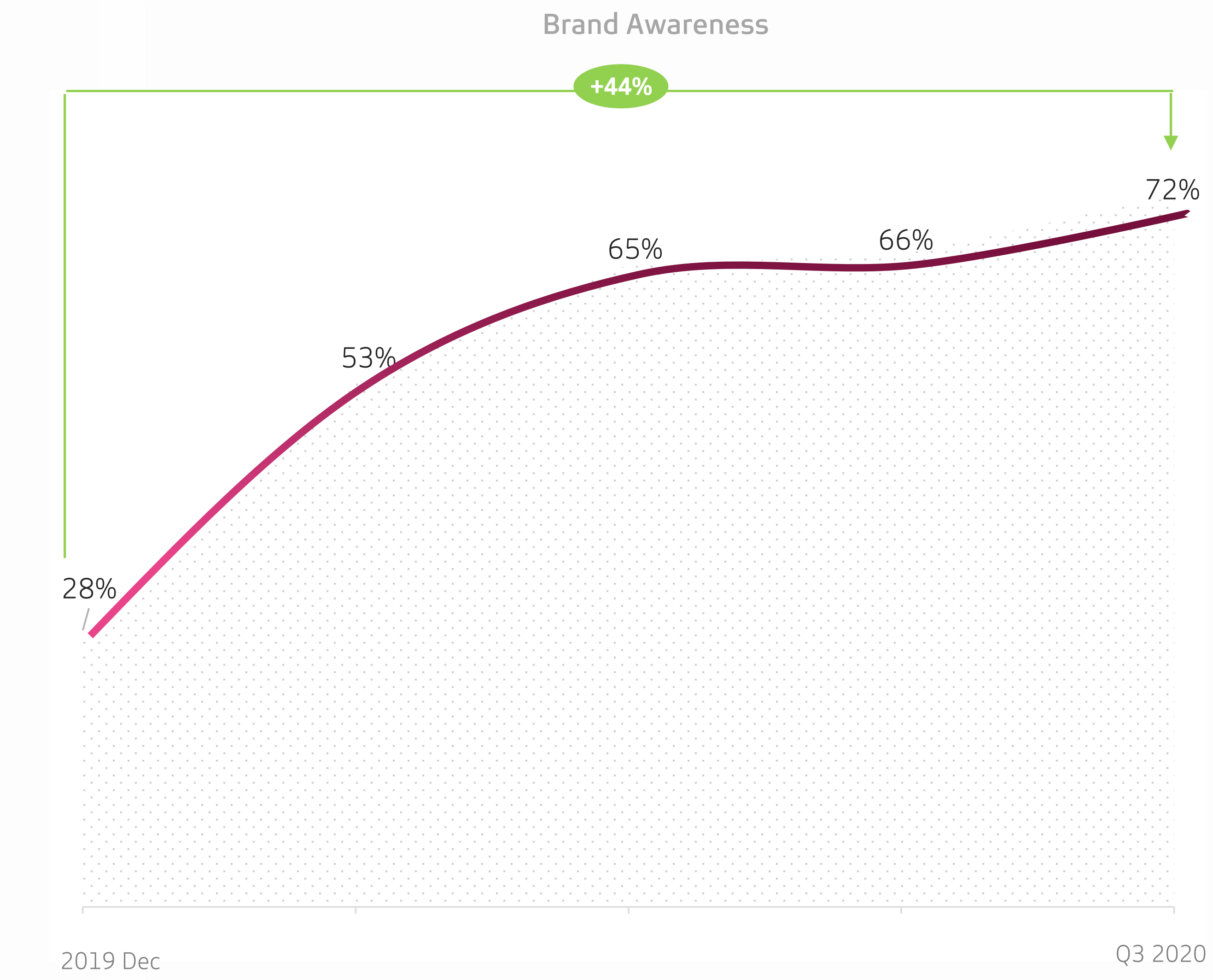
Making donations to various institutions and charities

13m shilling for shilling WEMA Force for Good colleague fund

200K masks to Boda and Newspaper vendors & We have donated umbrellas to over 4000 policemen across the country

We continued to build our new brand for local relevance and awareness despite of COVID19

Leading to impressive performance on brand metrics



Product launches : We keep innovating to bring easier, faster and better services to Kenya

Vertical Contactless Card

First-in-market
Absa vertical debit and credit cards with a "tap and go" contactless technology

Wezesha Biashara

Revamped the Business Banking proposition

- Unsecured loans of up to 10 million shillings and
- LPO financing and invoice discounting of up to 50 million shilling amongst other benefits.

Absa one account

An account that rewards you

- No minimum balance requirement and no monthly fees
- Unsecured loans of up to **6 million** shillings for individuals and **10 million** shillings for businesses
- **Cashback** on all ATM and debit card transactions
- 8 Major multicurrency prepaid card and
- Access to Absa Connect lifestyle events

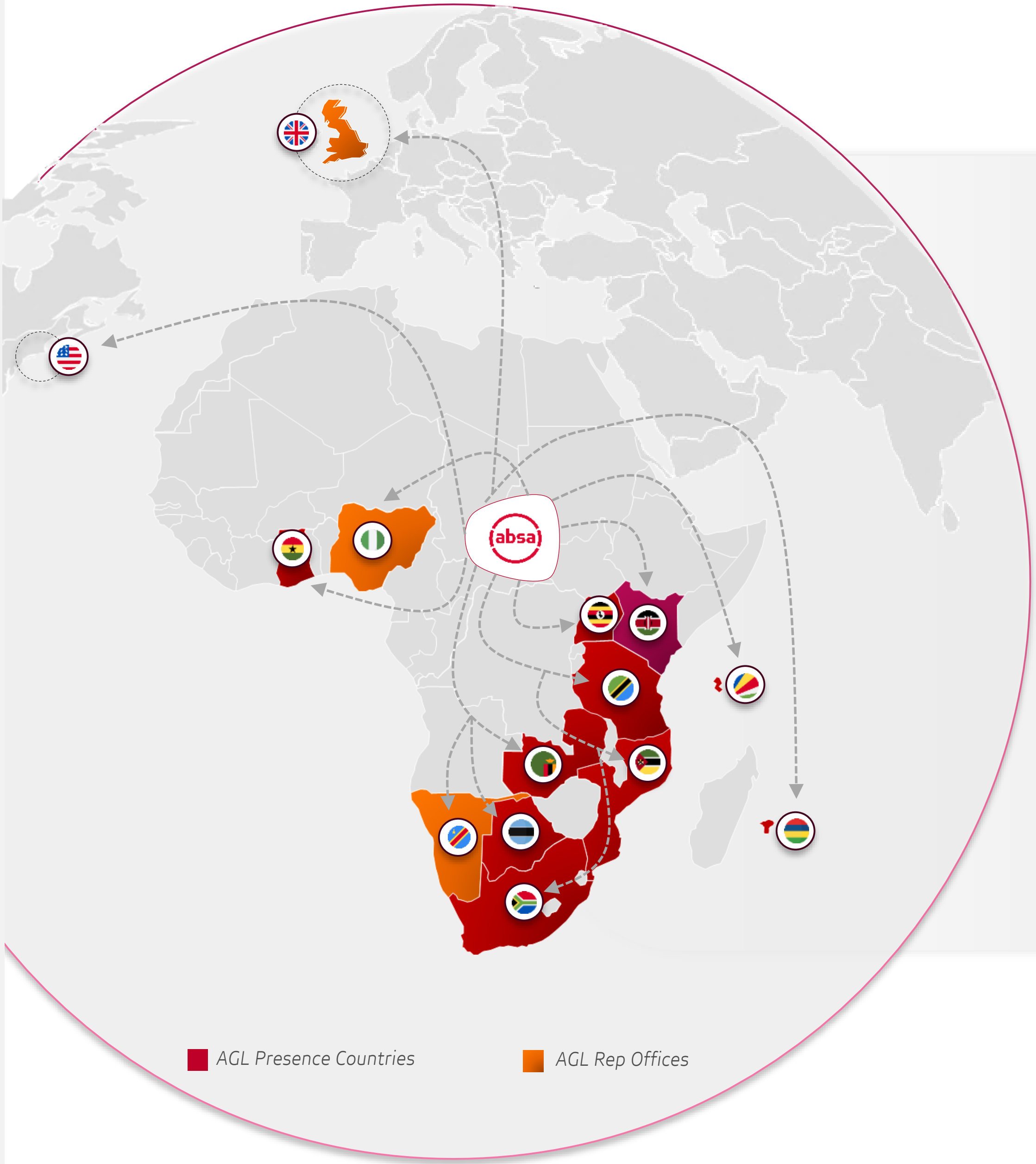
Asset Management

Market leading investments instruments for both retail and institutional clients with phase 1 institutional business launched in December 2020

Strategy Execution

Jeremy Awori –
Chief Executive Officer

Absa Group : We are part of a leading Pan African financial Institution with global reach



- 14 countries with Absa presence
- 38,472 employees around Africa
- More than 1,000 branches around Africa
- Around 9,763 ATMs around Africa
- More than 115,000 POS devices around Africa
- Kes11.4 Trillion Total Assets

Kenya

- Since 1916
- 1,992 employees
- 5,900 POS
- 85 branches
- 214 ATMs
- Kes379bn Total Assets

Our Strategy : Growth, Transformation and Returns ("GTR")

Our ambition is to become the best bank in customer experience as an enabler for sustainable growth.

1 Purpose

3 Enablers

3 Priorities

1 Measure of Success

Purpose

(Bring your possibilities to life)

Priorities

Growth
Protect core business while pursuing new growth areas to build strong and diversified franchise

Transformation
Automation and simplification aimed at building the most digital customer obsessed bank and operation efficiency leader

Returns
Optimization of our capital allocation, cost efficiency and outsized growth in ROE-captive revenues

Enablers

Technology
Radically modernize our banking platforms and digital capabilities

Culture
Embed our entrepreneurial culture of brave, passionate and ready colleagues

Brand
Drive Brand love and local relevance

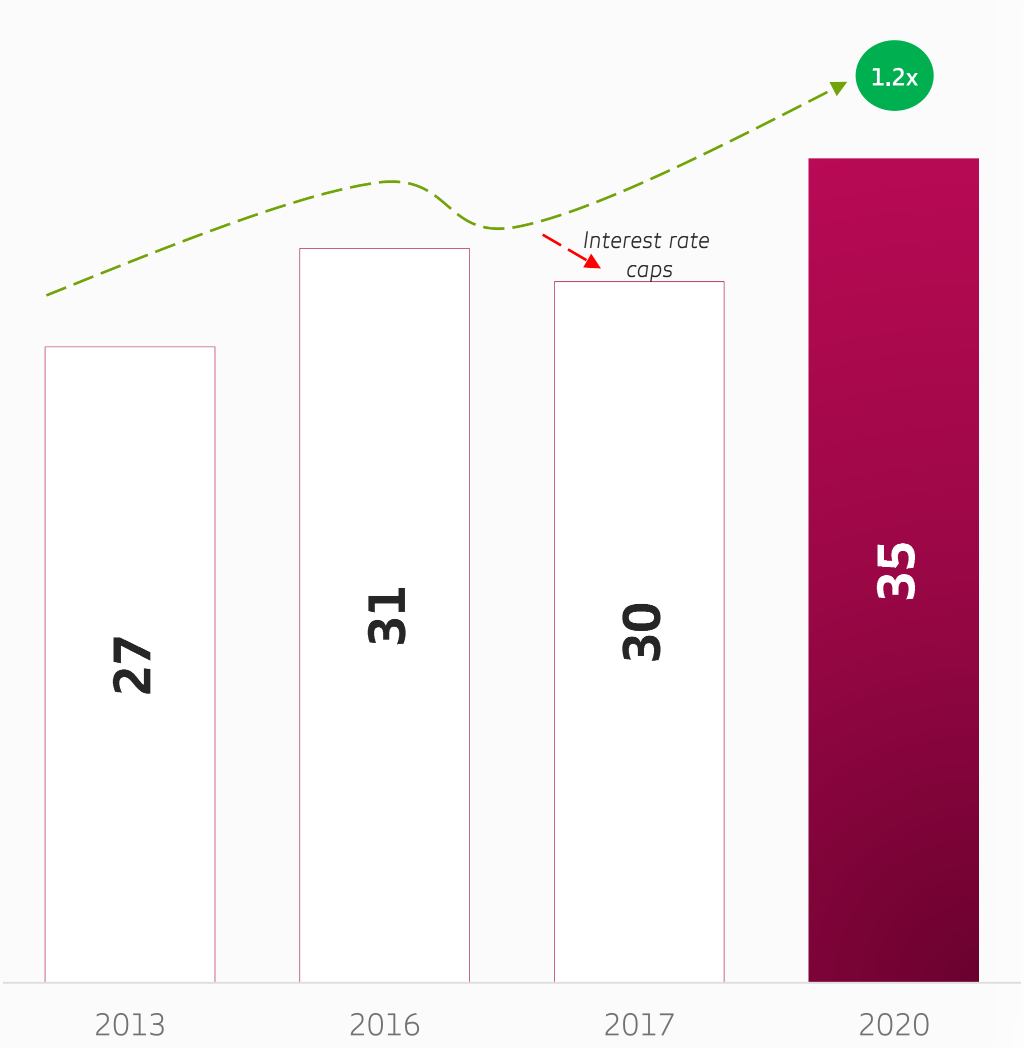
Measure of Success

(Growth, above market growth rate)

Business transformation to date: We have been executing our growth strategy with significant revenue and balance sheet build-up

In Kes 'billions' unless stated otherwise

We have grown our revenue 1.2X despite rate caps

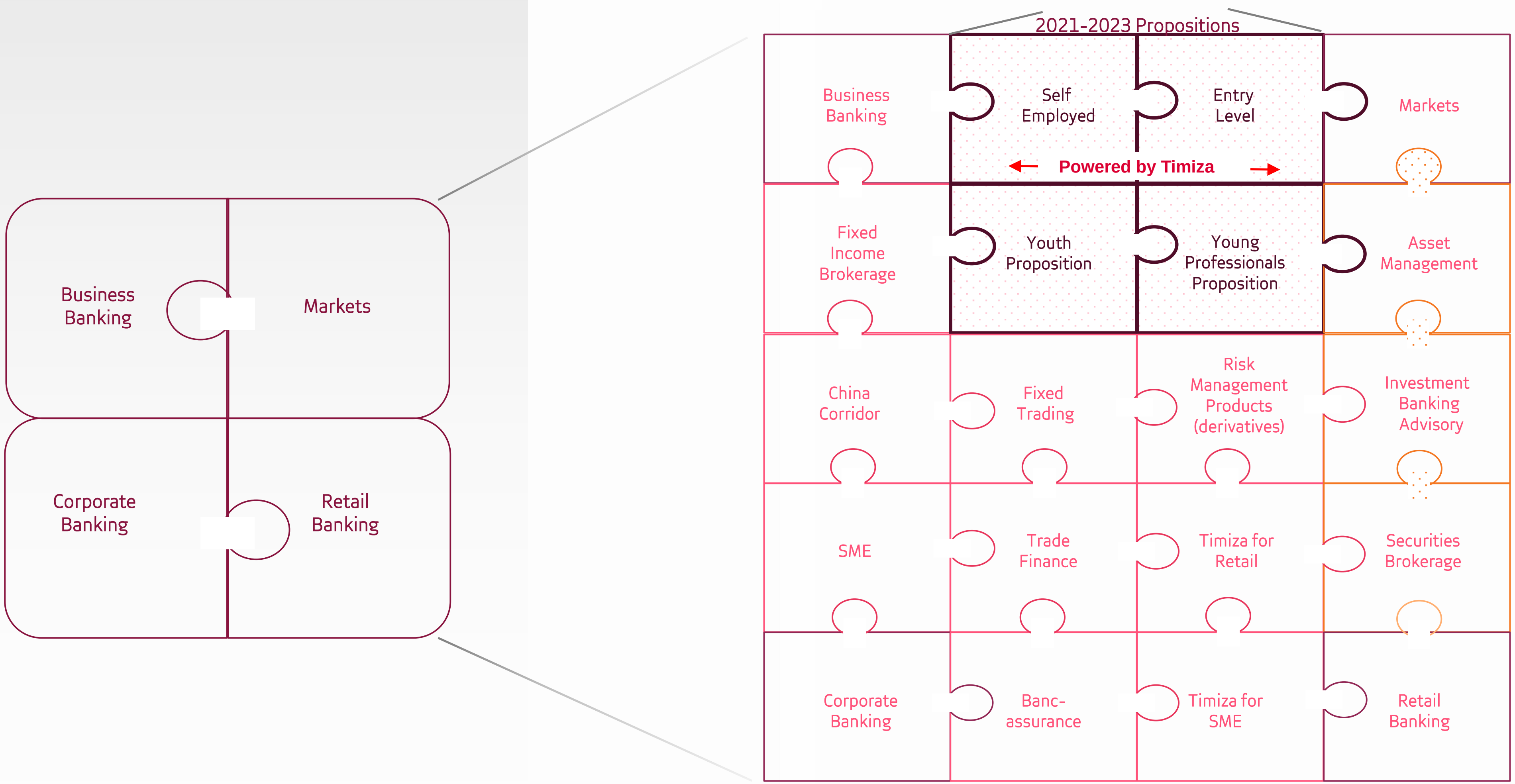


We have doubled our balance-sheet

Business transformation to date: We have been evolving our business with new propositions towards a full a full financial services group. We want our future growth to be driven by a broader proposition set

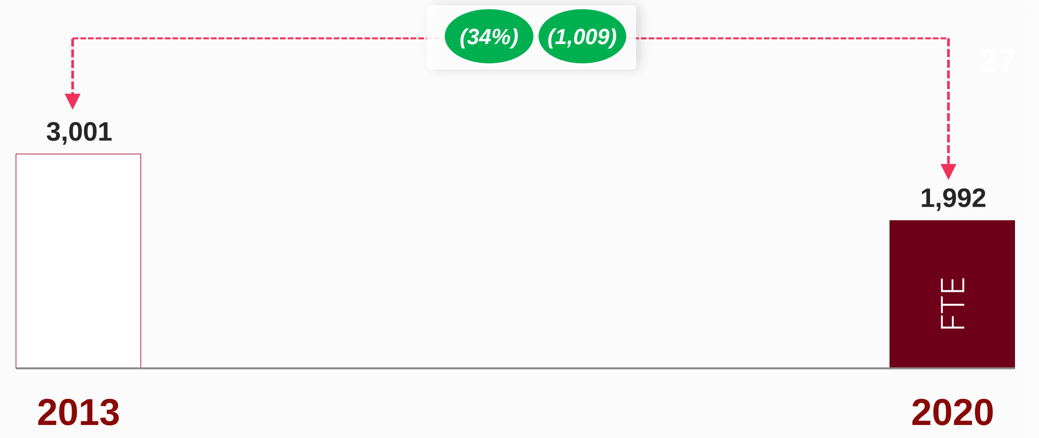
Broad Propositions Pre 2013

Propositions Today (and 2021 – 2023 Plan)

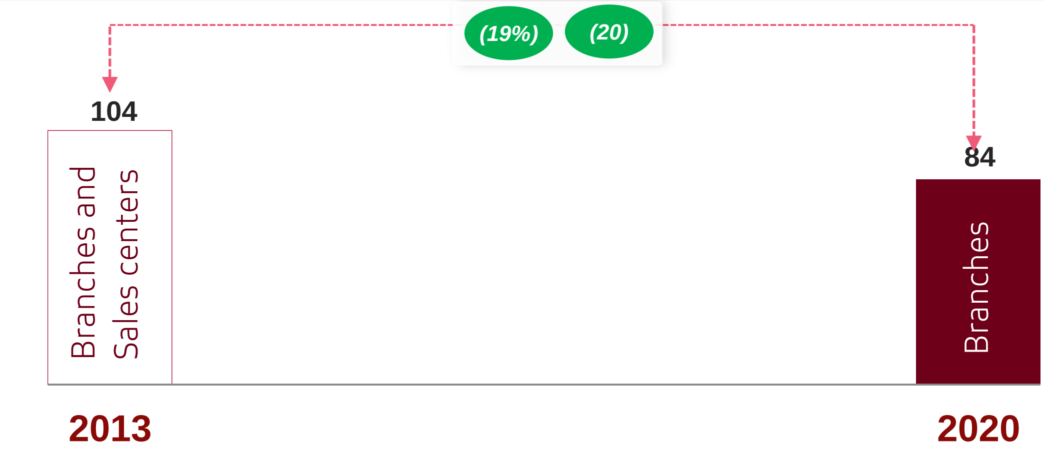


Business transformation to date : We have optimized our structural costs; reducing FTE by 1,009 or 34%

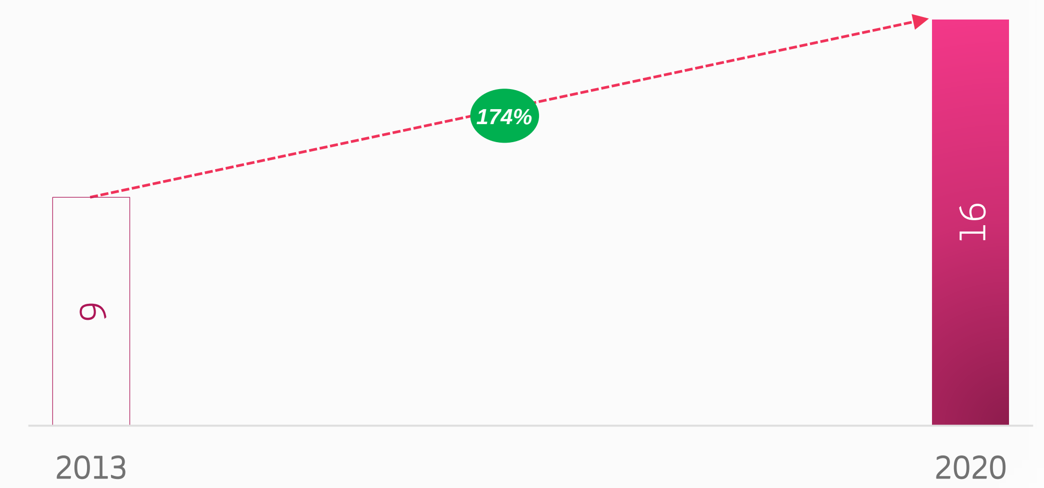
We have been optimizing on our resources (FTE)



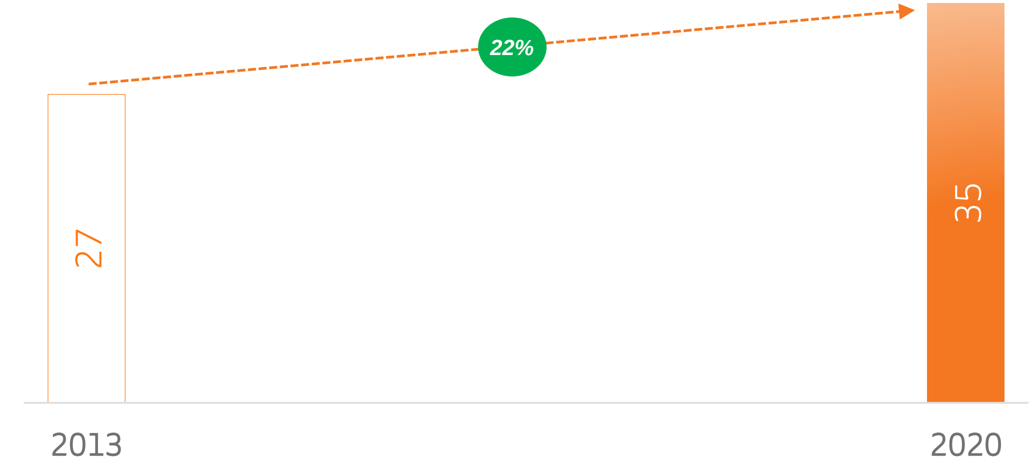
...and rationalizing our footprint (Branches)



Resulting in a step change in revenue productivity (Revenue in millions by FTE)



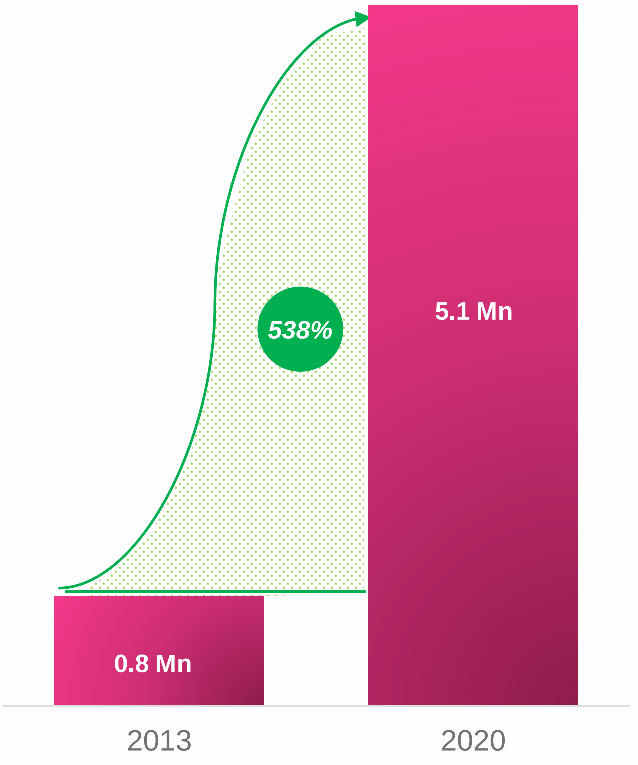
...and continued growth of our franchise (Revenue in billions)



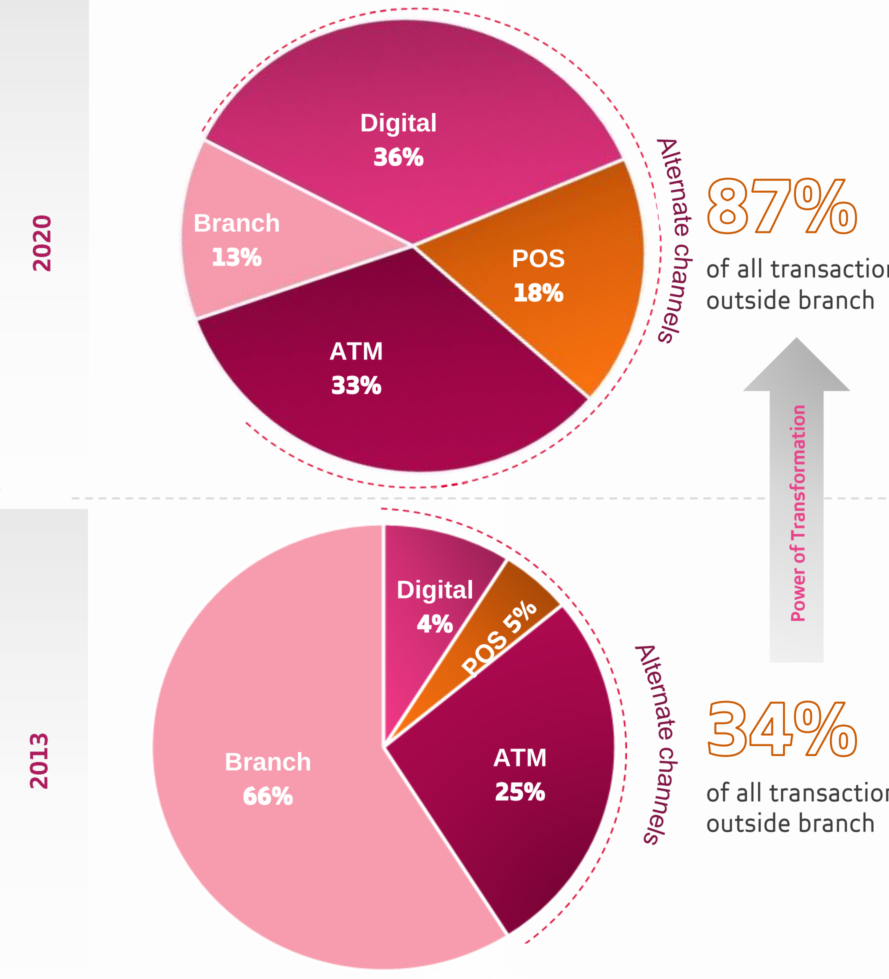
Business transformation to date : Investing in Digital banking through Timiza and migrating transactions to alternate channels

We launched Timiza as the first step towards building a fully fledged digital bank with impressive response from our Customers

Customers including Timiza



Volume of Customer Transactions via distribution channels: 2013 vs 2020



87%
of all transactions outside branch

34%
of all transactions outside branch

New technologies implemented over the last 5 years

1. **Absa Mobile Banking (AMB)**
2. **Absa Internet Banking (AIB)**
3. **Retail FX sales on internet platforms**
4. **Interactive Voice Response (IVR)**
5. **Queue Management System(QMS):** Ability for our branches to offer enhanced FX pricing and solutions to our Retail customers
6. **Strategic Hello Money (SHM)**
7. **Cash Send on Mobile:** leveraging on both the mobile network and our ATMs, customers can send money to their beneficiaries to be collected at our ATMs
8. **E-Statements:** delivery of customers account transactional statements in their emails
9. **Agency Banking (Card & non Card based)**
10. **Sybrin Paperless Teller Transactions:** digitization and automation of the end to end cheque clearing process and eliminating paper
11. **Prepaid Cards:** multi-currency cards not pre-loaded with funds for various usages by students, employees and customers
12. **Pesalink:** ability to transfer Kes up to <Kes. 1m either through your phone on internet banking
13. **Dynamic Currency conversion**
14. **Kadi Kope**
15. **Core Billing and Pricing(CPB):** the ability to offer tailored pricing solutions to our customers
16. **Virtual Banking**

Business transformation to date: We have embedded sustainability in our business

High Impact SDG's

Medium Impact SDG's

Our Commitments

- Increase portfolio and capital allocation by at least 10% in sustainable initiatives
- Achieve 30% diversity in the supply chain focusing on Women, Youth and Persons with disability
- Train 1 Mn youth through our ReadyToWork Program
- Become a net zero carbon footprint company by 2040
- Plant 10 million trees by 2025
- Empower and train all our suppliers on Corporate Sustainability by 2021
- Direct and indirect economic contribution to the Kenyan economy
- Become one of the top 10 best place to work in Kenya
- Train all employees on at least one future skill by 2021
- Increase proportion of women within all levels: from junior to board positions (Attain 50% by 2025)
- Assess and manage our indirect environmental and indirect social impacts
- Embed ESG across all our policies and frameworks
- Continued partnerships for the goals

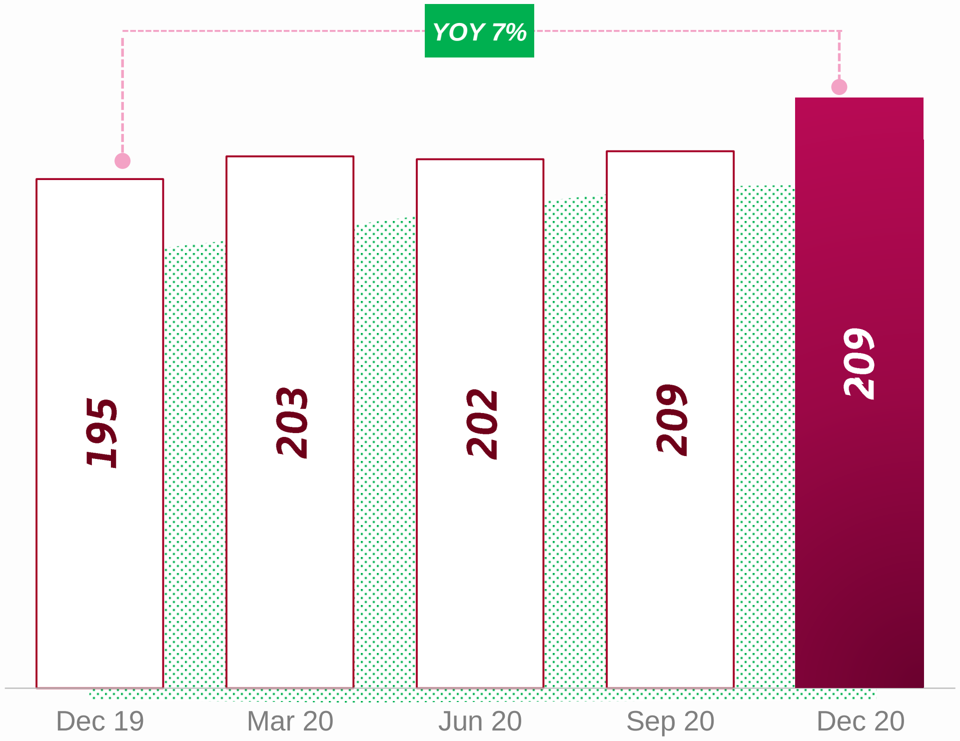
Financial Performance

Yusuf Omari –
Chief Finance Officer

2020 Financial Results: Growth in balance sheet across all business segments

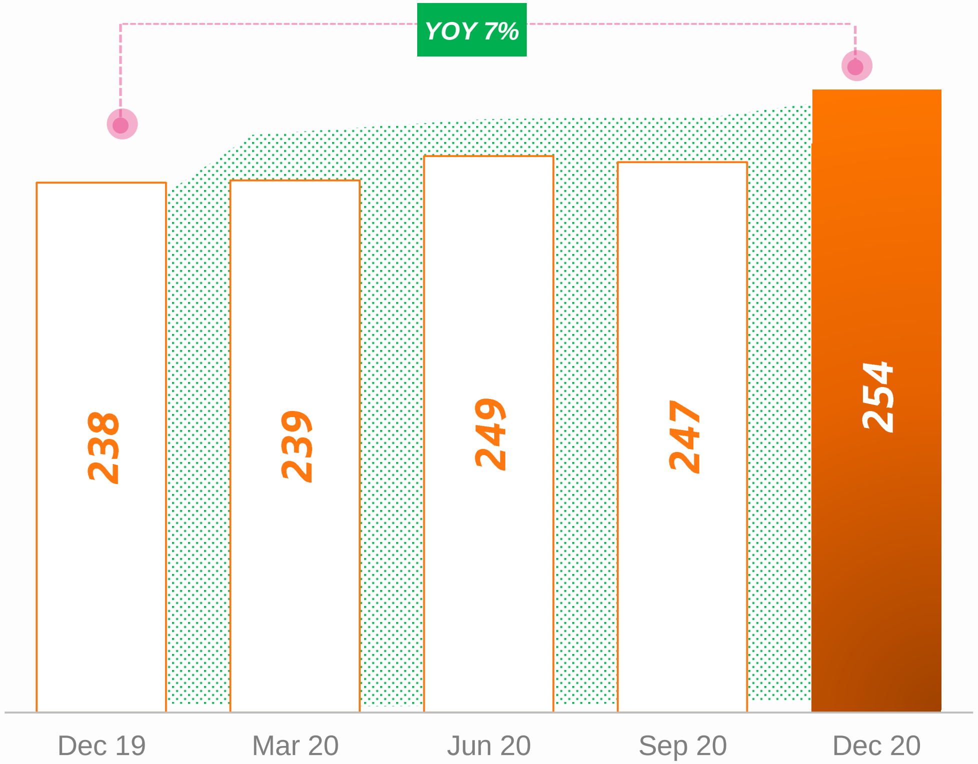
(In KES bn unless stated otherwise)

Customer Loans and Advances



- LDR of **82%**
- Government securities excluding trading book increased by **13% on a YoY basis**

Customer Deposits

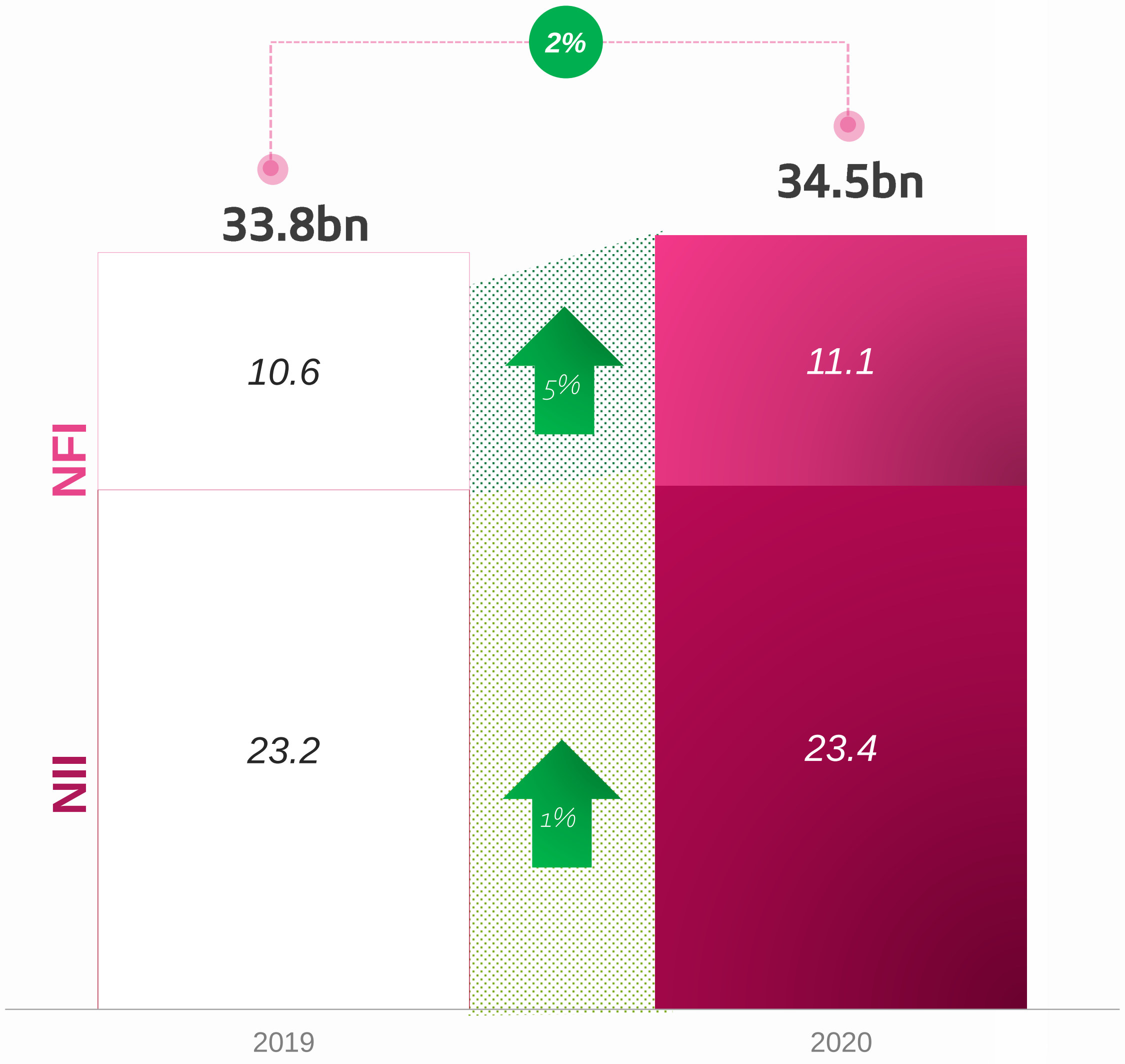


- Focus is on attracting **cheaper deposits** to lower the cost of funding

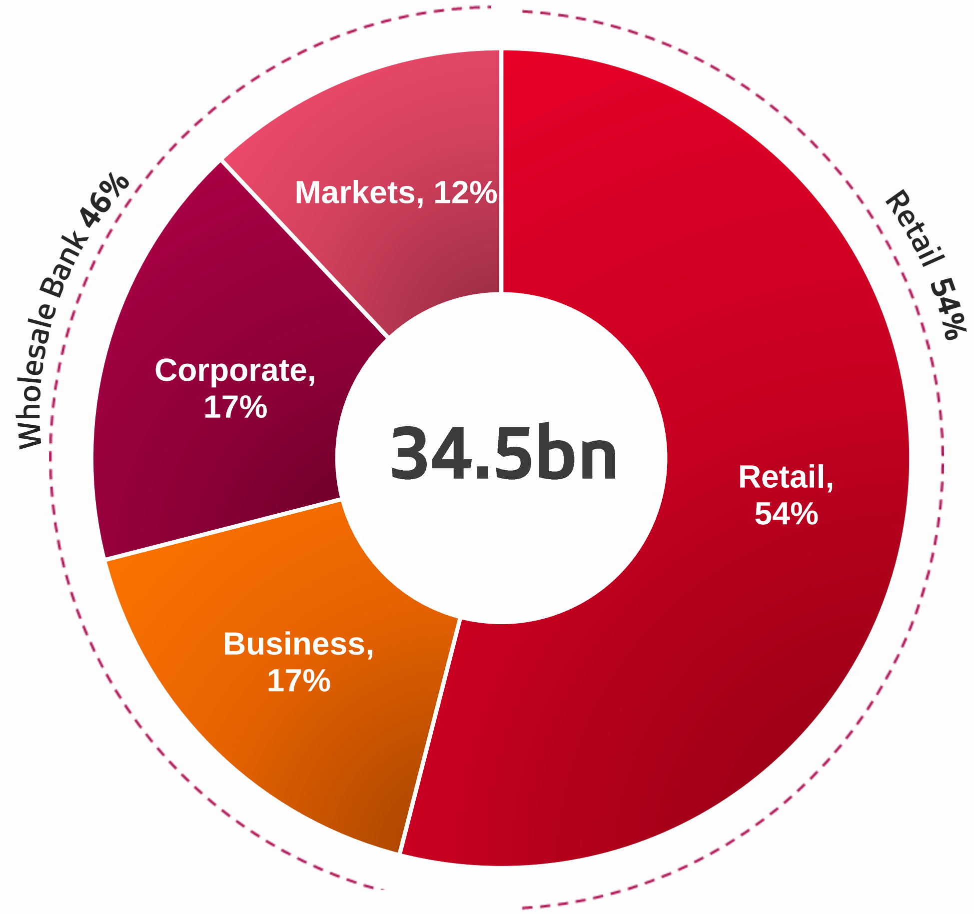
2020 Financial Results: Income growth boosted by Non Funded Income (32% of total revenue) driven by strong markets and insurance performance

(In KES bn unless stated otherwise)

Absa NII and NFI

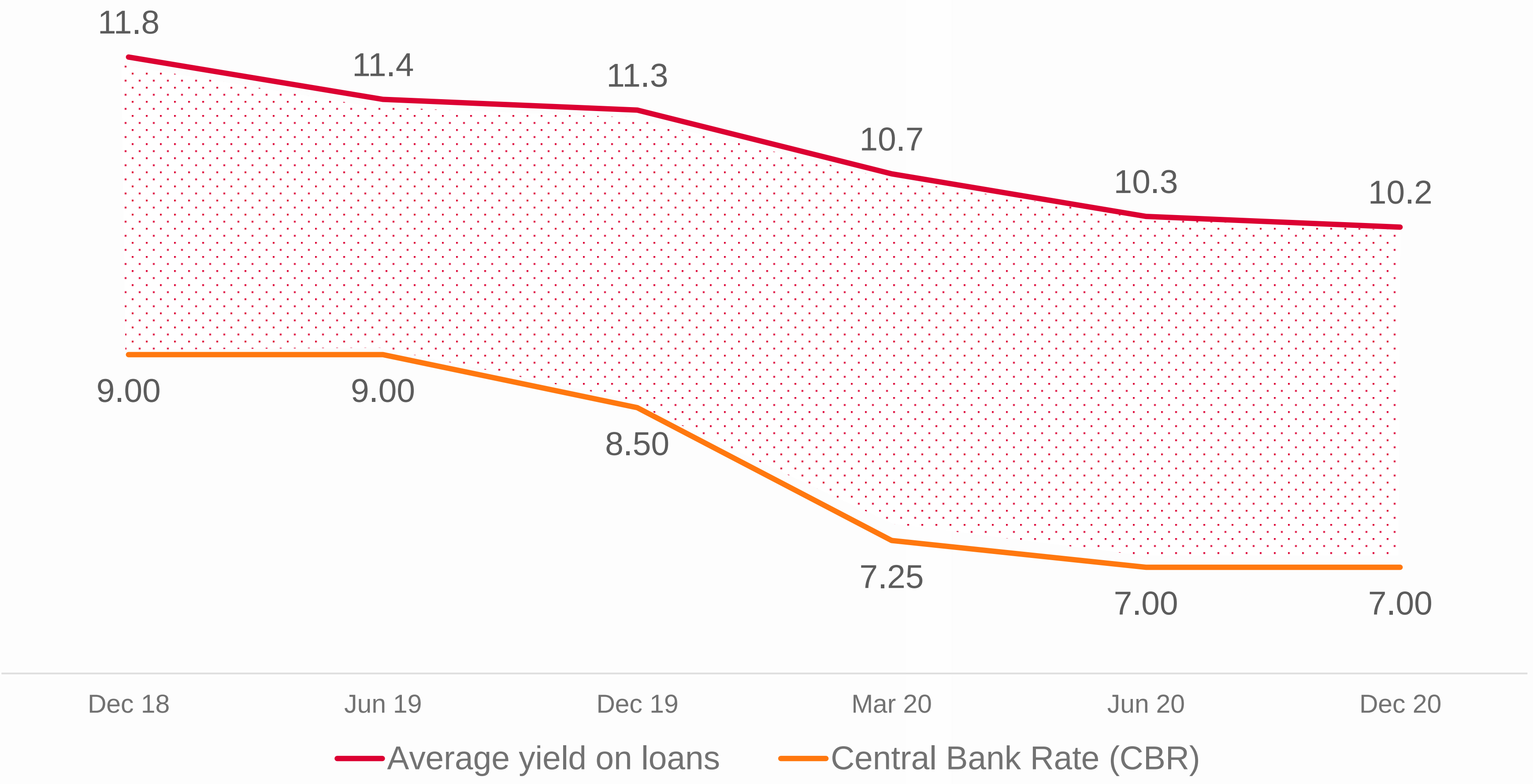


2020 Income diversification



2020 Financial Results: CBR drop impacting our yields.. Over 110bps drop affecting our revenues growth

Yield vs CBR movement (%)

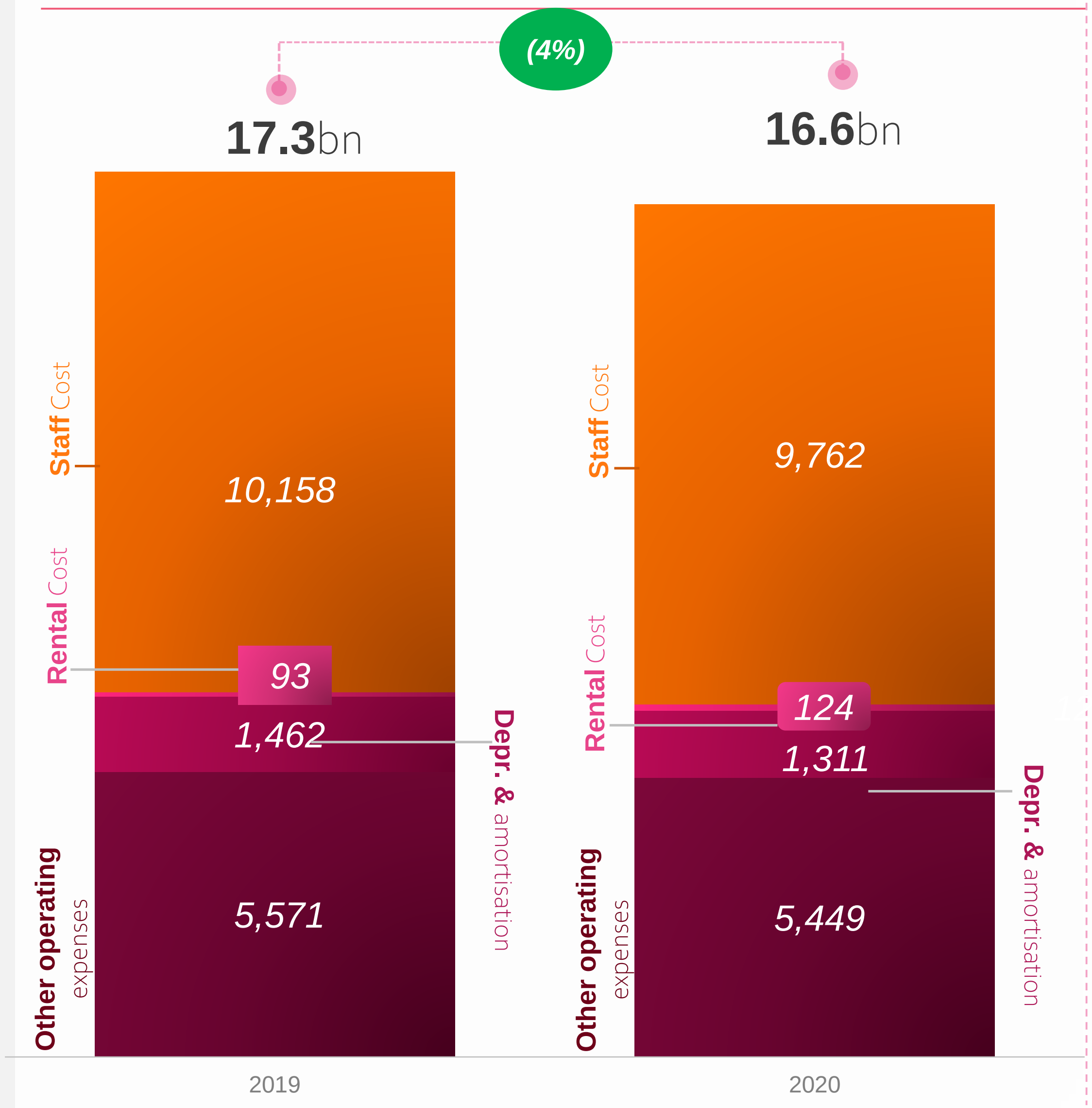


As a responsible financial partner, we have been repricing the book and passing on the benefits to our customers.

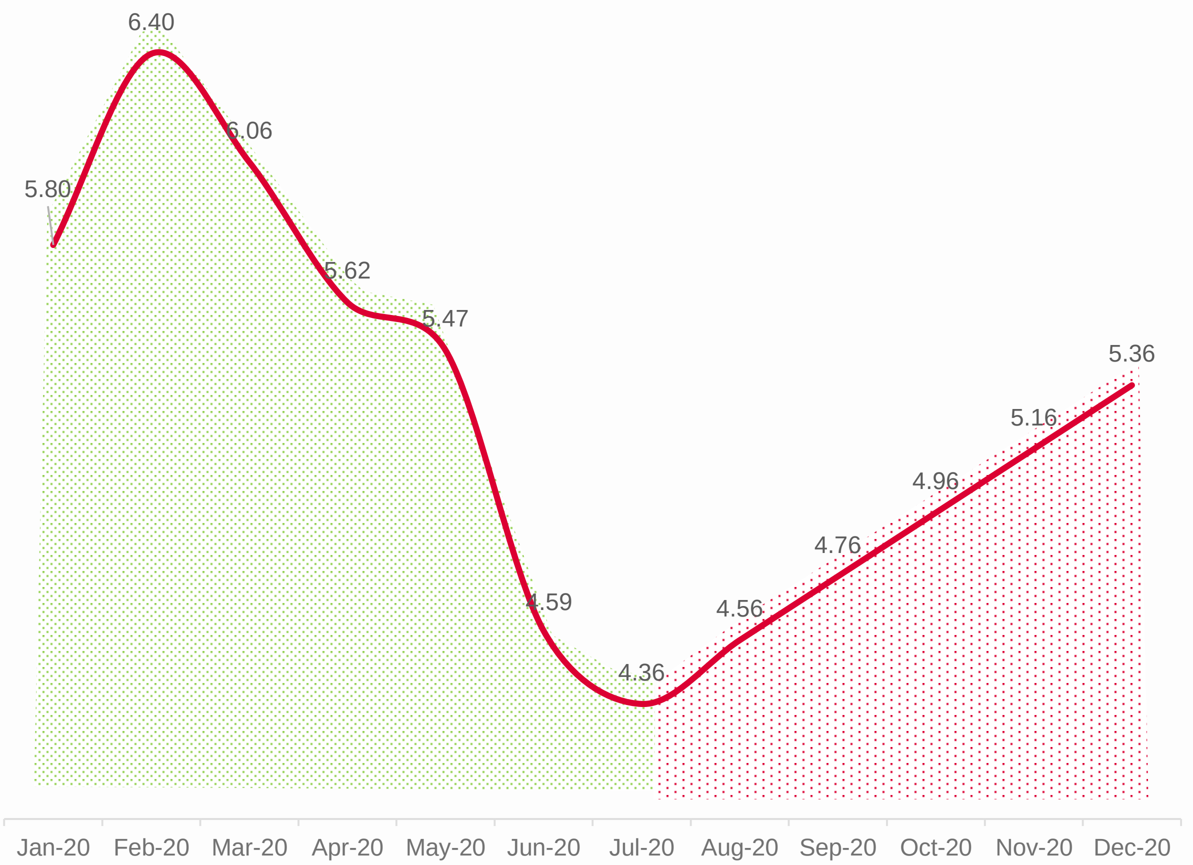
2020 Financial Results: Prudent cost management driving a 4% Yoy cost drop

(In KES bn unless stated otherwise)

Absa Cost : 2019 – 2020



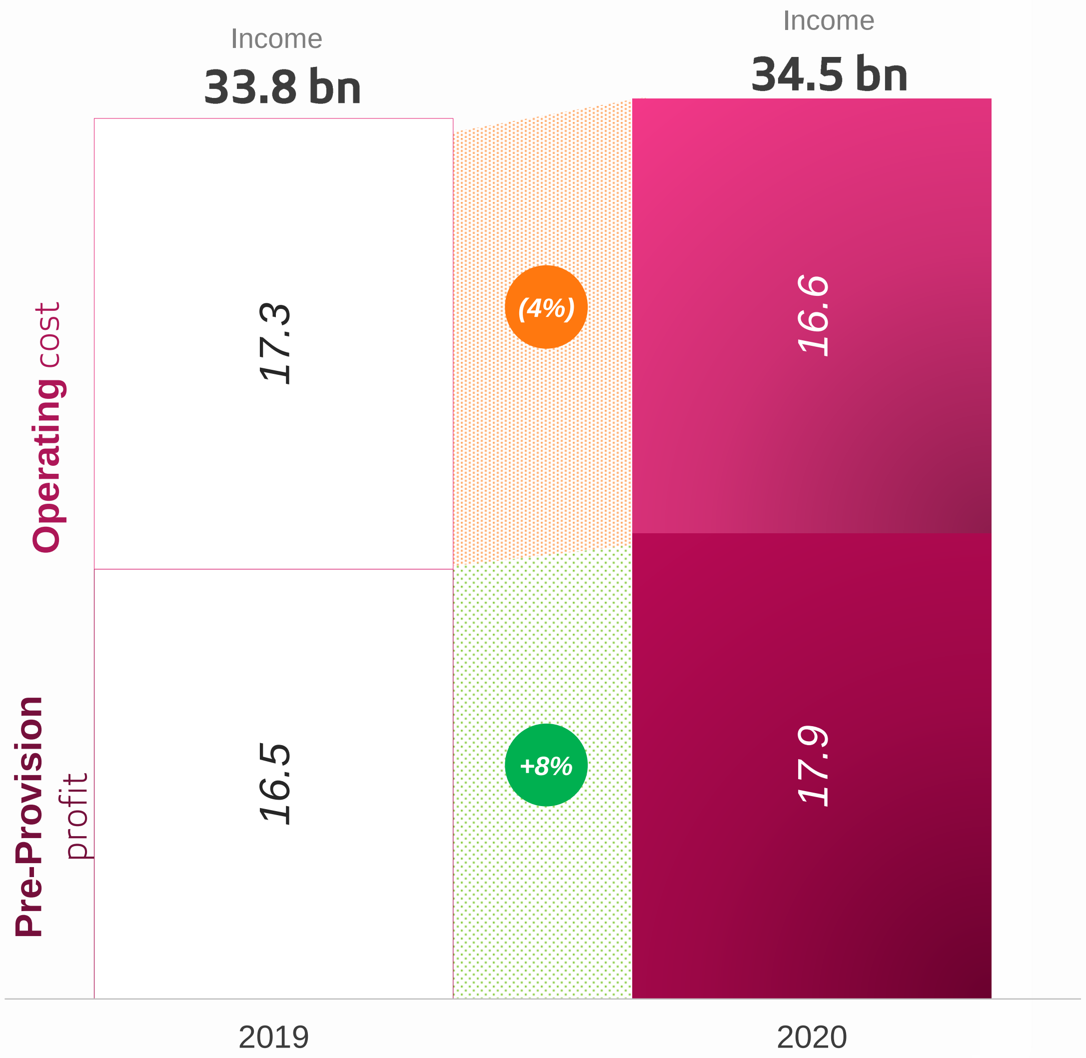
Inflation rate: 2020 at 5.4%



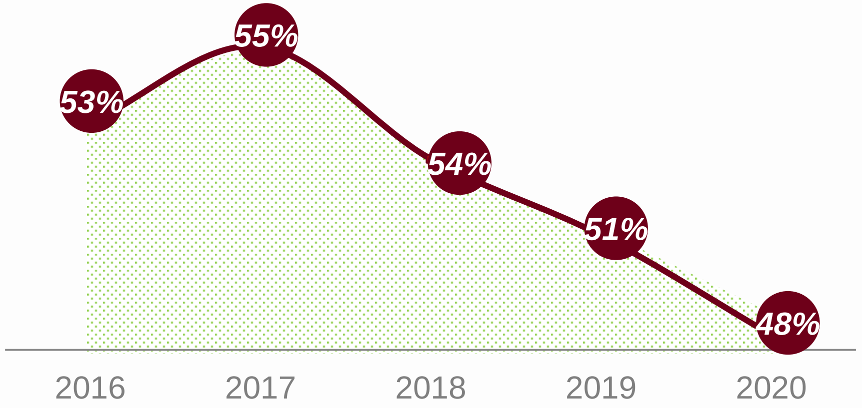
2020 Financial Results: 8% growth in our Pre-Provision profit to KES 17.9 billion, supported by contained cost and growth in revenue

(In KES bn unless stated otherwise)

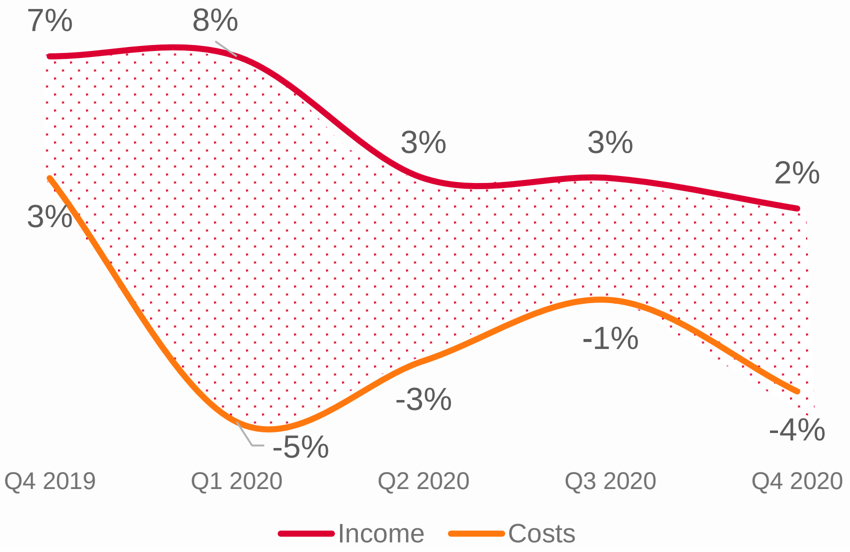
Operating profit and Operating cost: 2020



Normalized CIR ratio: 2020 at 48%

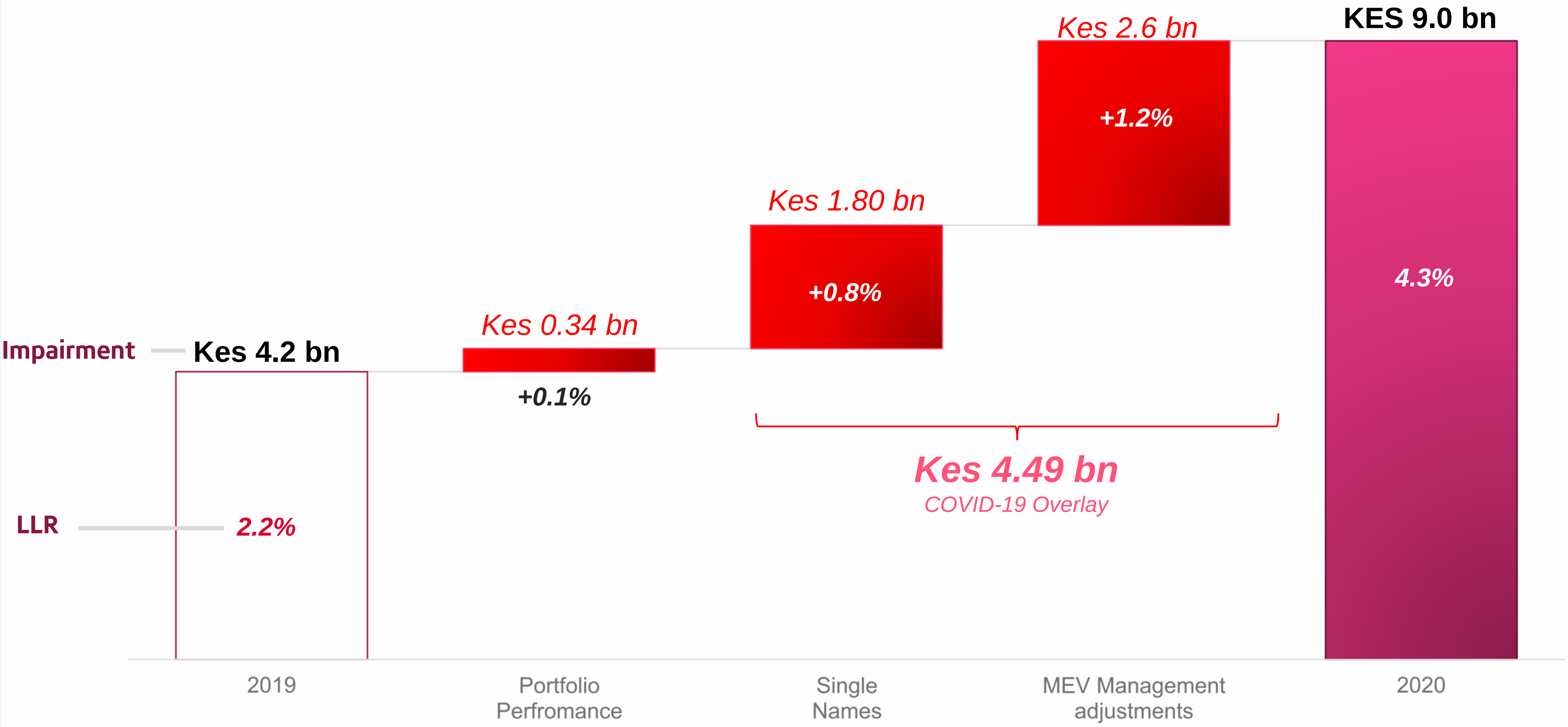


Normalized JAWS



2020 Financial Results: Impairment key drivers

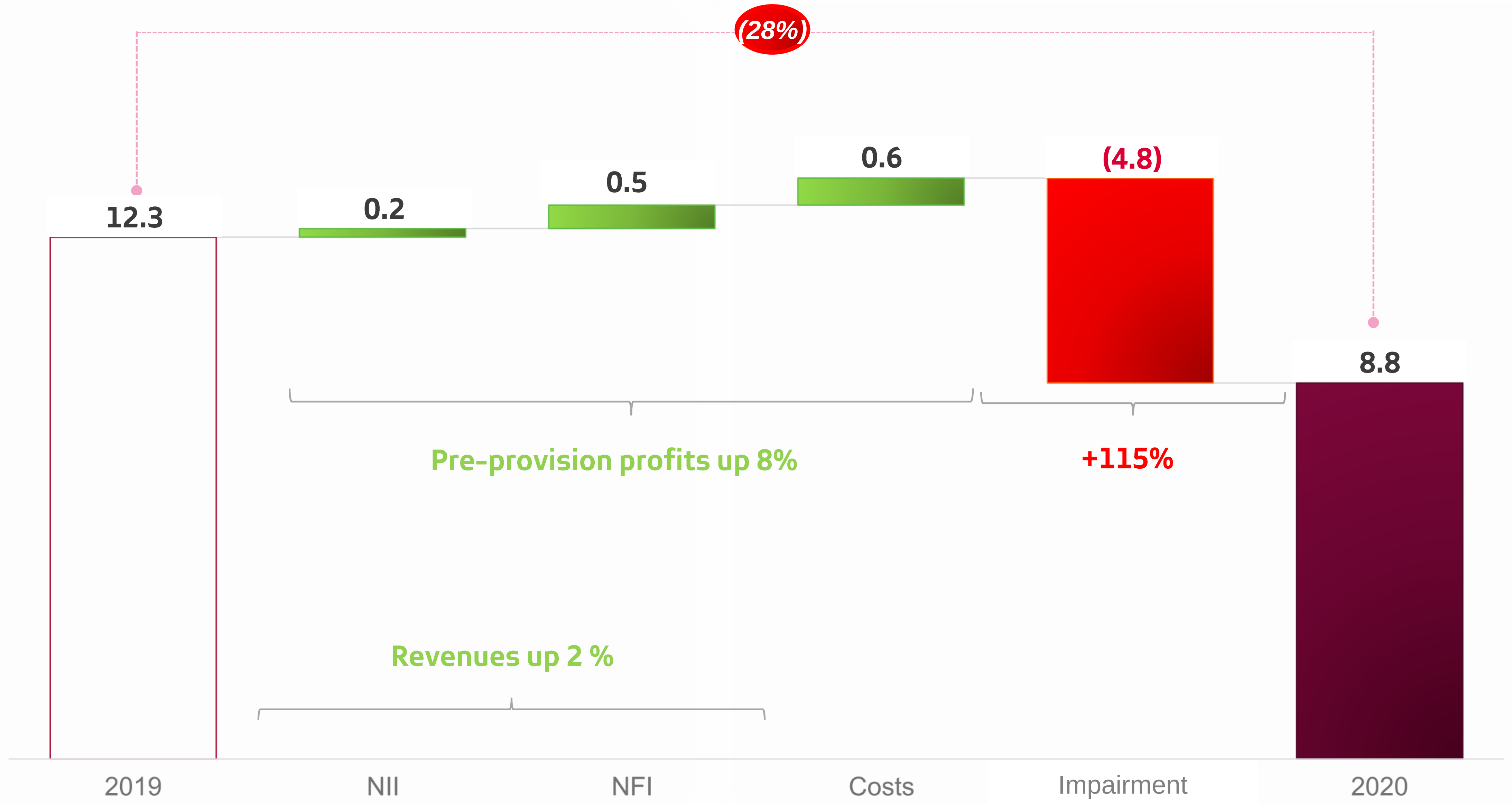
(In KES bn unless stated otherwise)



MEV – Macro-economic variables

2020 Financial Results: Credit charge main driver of reduced normalized Profit Before Tax

(In KES bn unless stated otherwise)



2020 Financial Results: Revenue grew by 2% with Pre-Provision profit growing by 8%

Financial Results 2020

(In KES bn unless stated otherwise)

	Indicators	2020	2019	Comment
P&L	Income	34.5 bn	33.8 bn	2% growth
	NII	23.4 bn	23.2 bn	1% growth
	NFI	11.1 bn	10.6 bn	5% growth
	Normalized Cost	(16.6 bn)	(17.3 bn)	4% decline
	Pre-Provision Profit	17.9 bn	16.5 bn	8% growth
	Impairment	(9.0 bn)	(4.2 bn)	115% in light of COVID-19
	Normalized PBT	8.8 bn	12.3 bn	28% decline
	Normalized PAT	6.5 bn	8.5 bn	23% decline
	Exceptional Items	(3.2 bn)	(1.5 bn)	109% growth
	Total PBT	5.6 bn	10.8 bn	47% decline
Balance sheet	Customer Assets	208.9 bn	194.9 bn	7% growth
	Customer Liabilities	253.6 bn	237.7 bn	7% growth
	Total Assets	379.4 bn	374.0 bn	1% growth
	Government Securities Balance	126.1 bn	123.0 bn	2% growth

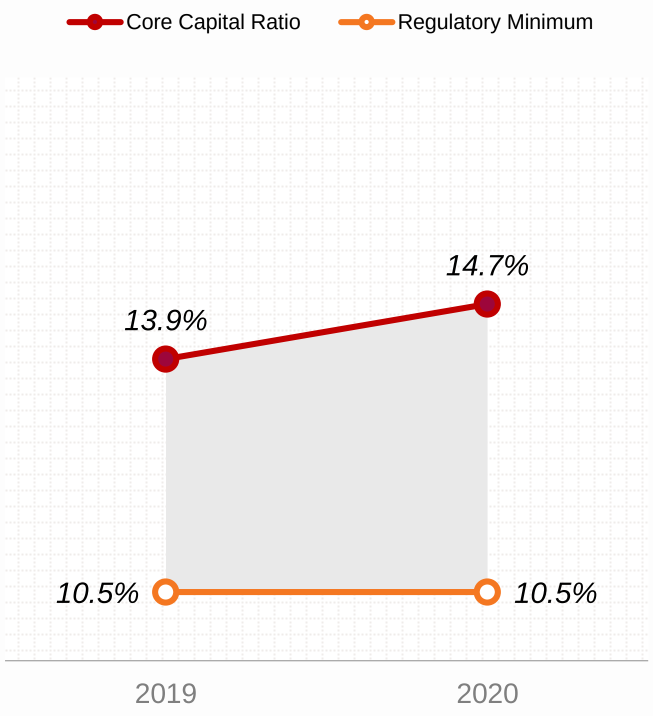
2020 Financial Results (Key Ratios): CIR showing marked improvement, with industry-wide margins under pressure, loss loan ratio impacted by Covid 19 environment

Key ratios performance

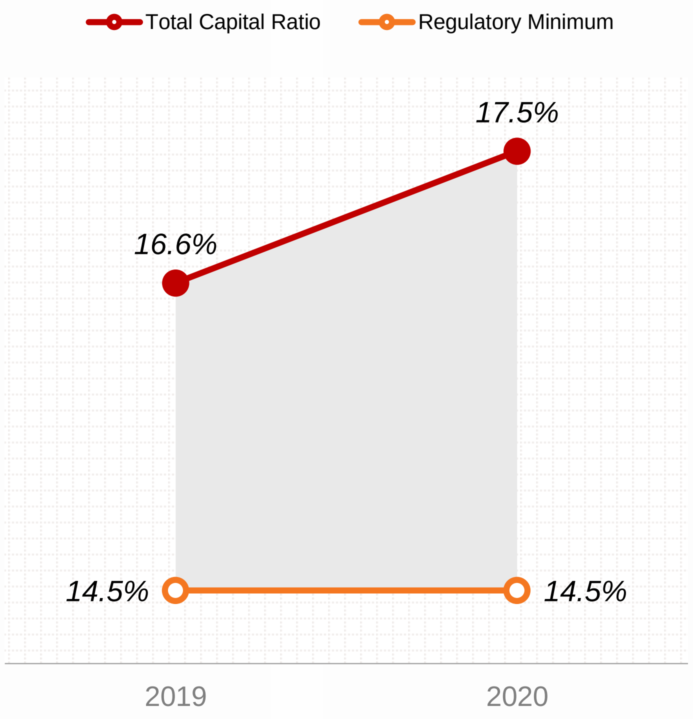
Indicators	2020	2019	B/(W) vs. PY
Normalised Cost to Income Ratio	48%	51%	Marked improvement (300% bps)
Loan Loss Rate	4.3%	2.2%	Adversely impacted by impairment provisions
Net Interest Margins	7.8%	8.4%	Yoy CBR drop impact
Yield on Loans	10.2%	11.4%	Yoy CBR drop impact
Cost of Funds	2.5%	2.9%	Better that prior period
Coverage Ratio	71%	77%	Adequate coverage ratio
Dividend Per Share (KES)	0.0	1.1	Preserve capital for future growth and safeguard for COVID-19 uncertainty

2020 Financial Results (Key Ratios): Strong capital and liquidity ratios to support future growth and returns recovery

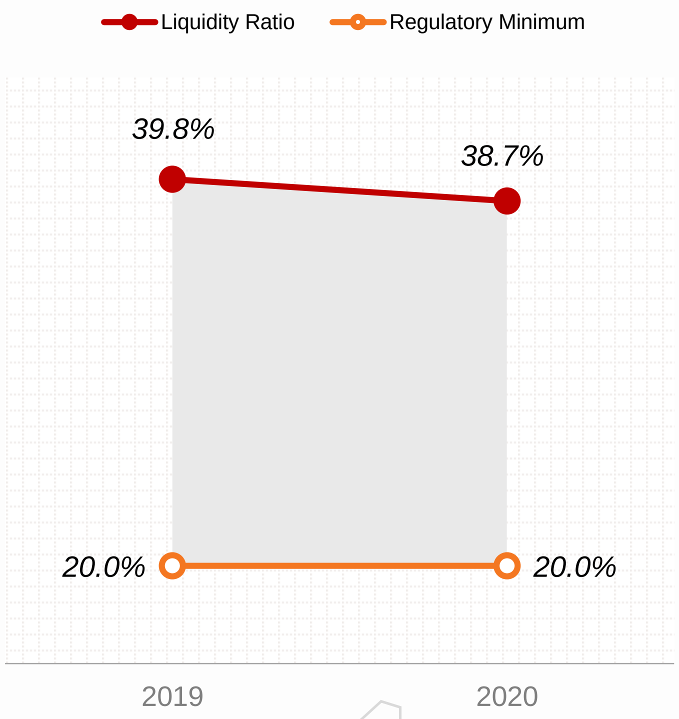
Core Capital Ratio



Total Capital Ratio



Liquidity Ratio



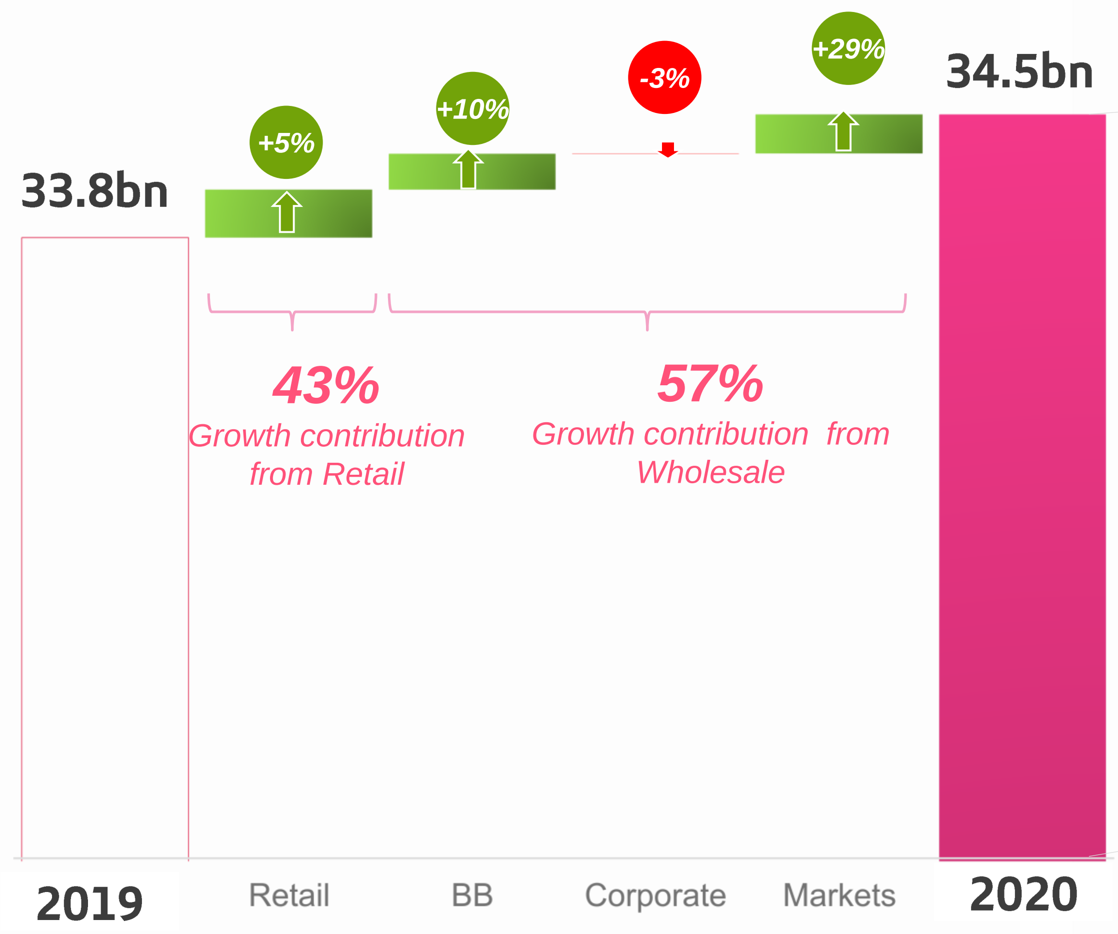
5 Forward Looking insights

Moses Muthui -
Chief Strategy Officer &
Head of CIB finance

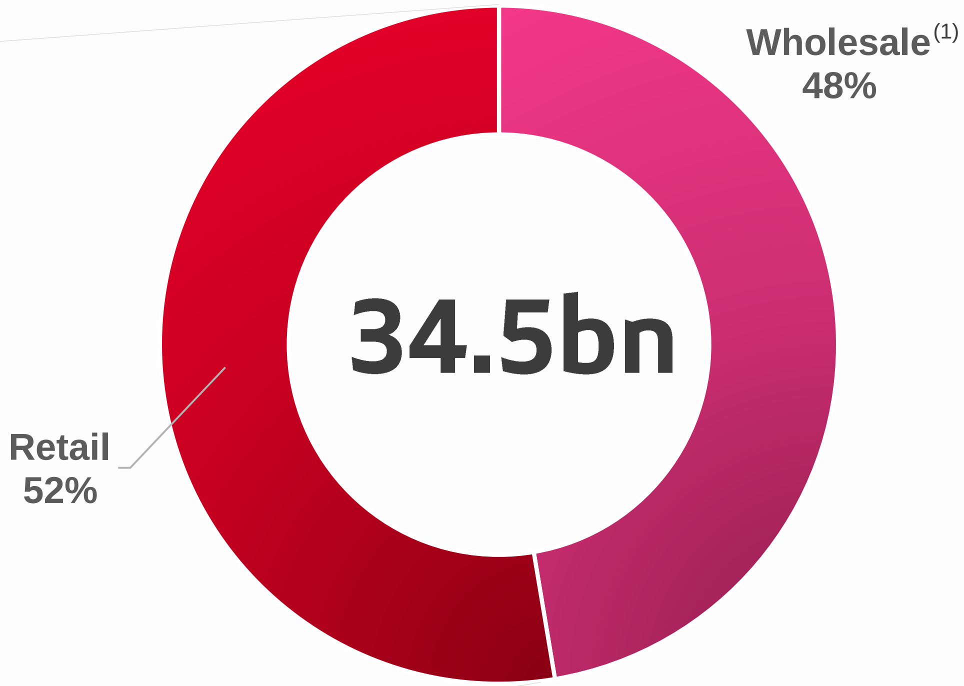
1. Growth Diversification: Revenue diversification towards a 50/50 Retail/Wholesale split could provide a more predictable financial profile during the transitional cycle

(In KES bn unless stated otherwise)

Income Growth (and growth contribution) by business 2019 vs 2020



Income distribution 2020



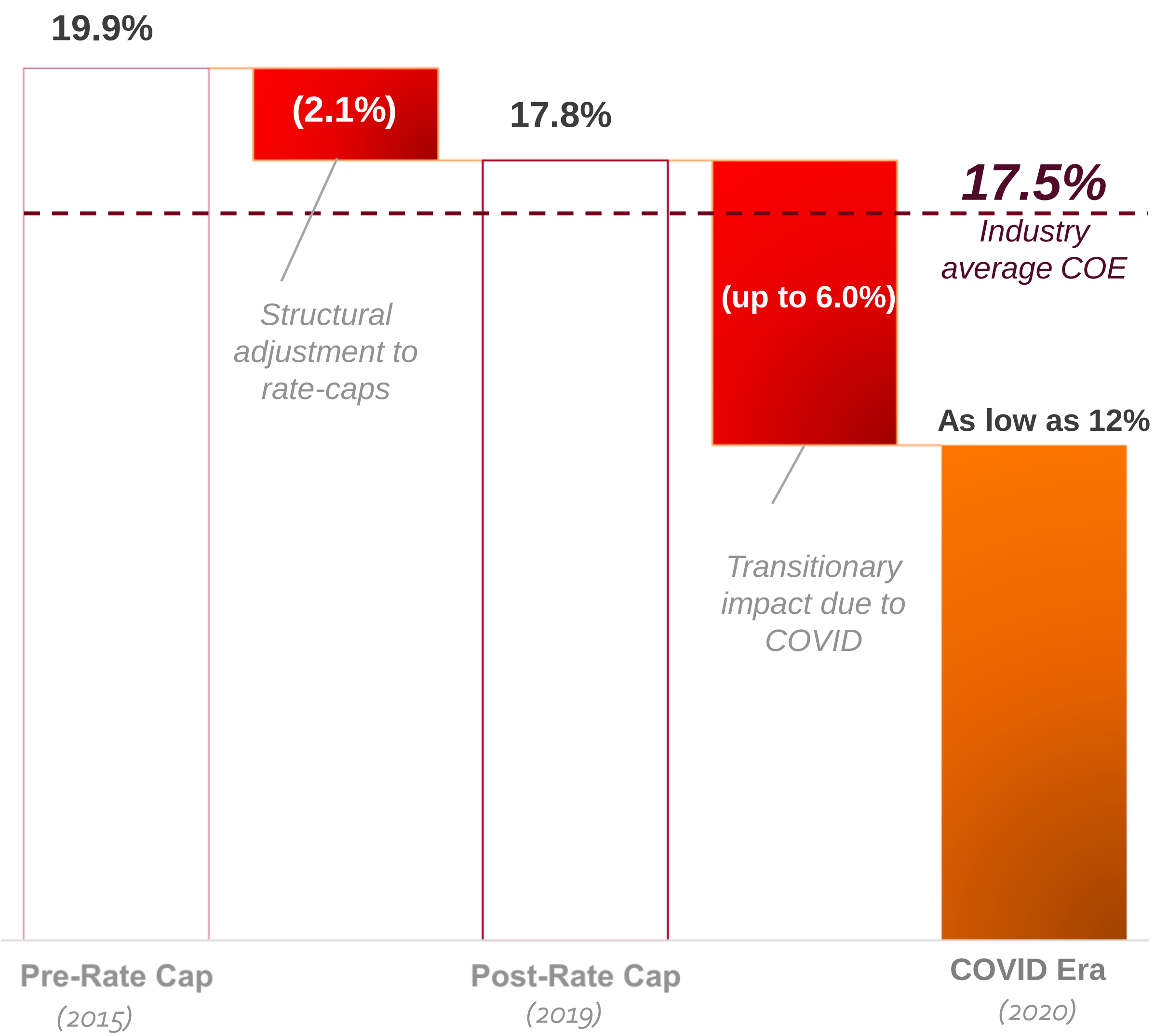
CIB returns improvement driven by material growth in our industry leading Markets business which is now contribution 40% to banks profitability

Notes:
1. Wholesale comprises of Business Bank and Corporate and Investment Bank

2. Returns: Correction of ROE's anticipated – only – into the medium term (2021+)

Industry ROEs

Absa actual ROE for 2020 at 14%



Impact of Rate Caps on returns

(P&L largely net-neutral, Capital net-positive; ROE above COE)

- Revenues — Industry revenues reduced by 3% in year 1 and grew single digits thereafter partly offset by increase in fee revenue
- Impairment — Broadly neutral impact given focus on low risk sectors and customers
- Costs — Industry repositioned for efficiency mainly through low cost service channels

A rate-capped portfolio (Back Book) was carried into the COVID period, therefore, presenting a further revenue downside for banks that are repricing their back books in line with reduction in CBR. As responsible lenders, at Absa we have been repricing loans as CBR reduces.

Impact of COVID on returns

(P&L significantly net-negative, Capital net-negative; ROE below COE)

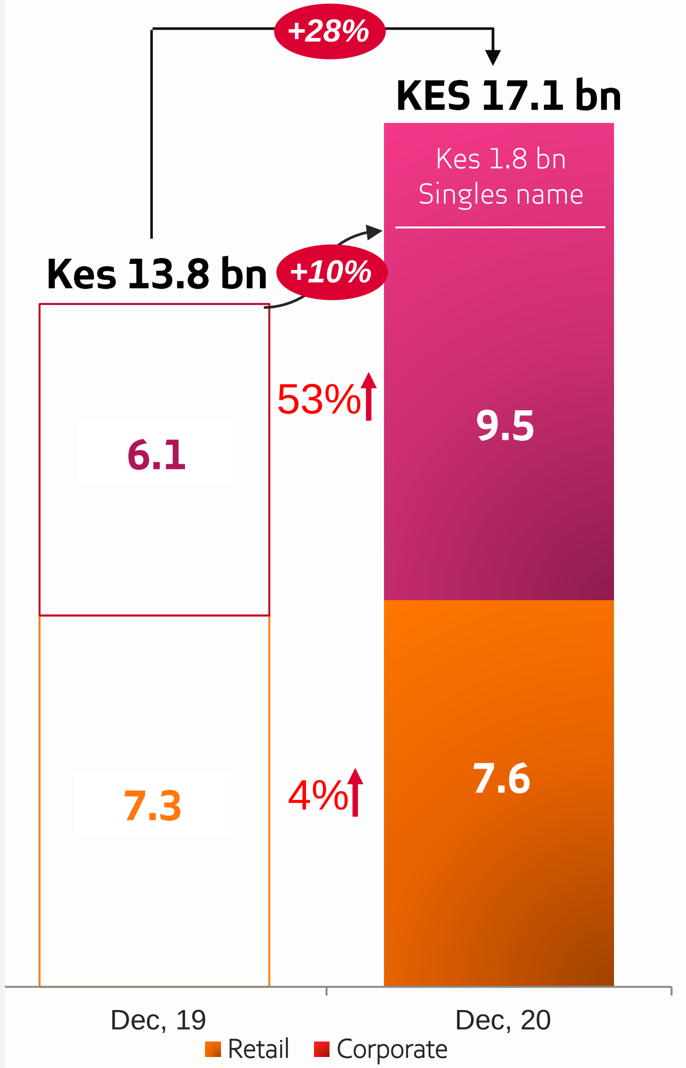
- Revenues — Reduced revenue streams due to reduced trading activity, response to COVID and lower CBR
- Impairment — Significant increase due to general provisions and COVID overlays
- Costs — Accelerated cost reduction programs and cost avoidance related to low activity

3. Approach to (and level of) provisions and correlation between NPLs and LLRs

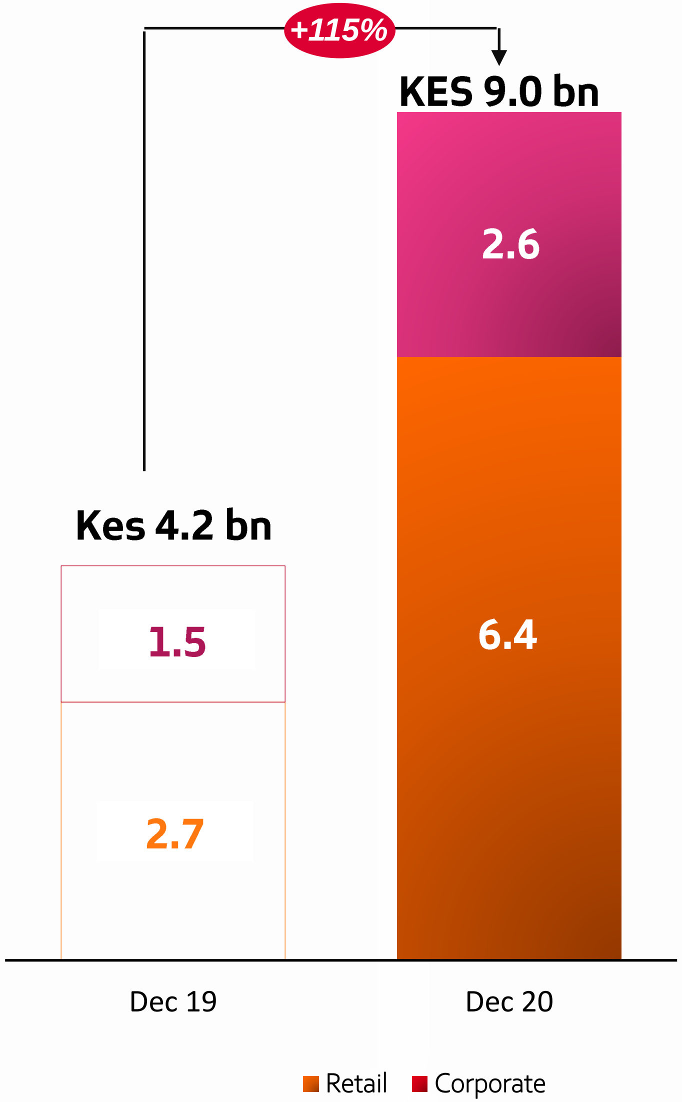
A case of trade-off between short-term profitability and medium-term resilience

(In KES mn unless stated otherwise)

Non Performing loans: Up 28% (10% excluding single name exposure)



Provisions: Impact on P&L for both specific and Covid overlays



Key Facts

- NPLs increased by 23%, mostly due to a single names exposure, However impairment has increased 115%
- KES 4.7 bn COVID incremental impairment, as a result of discretionary judgement on future macros

Provisional Impairment: Traditional provisioning

- Short-term upside and higher reported EPS
- Short-term upside and higher reported CET1
- Medium-term downside on earnings and capital, in the event macros deteriorate

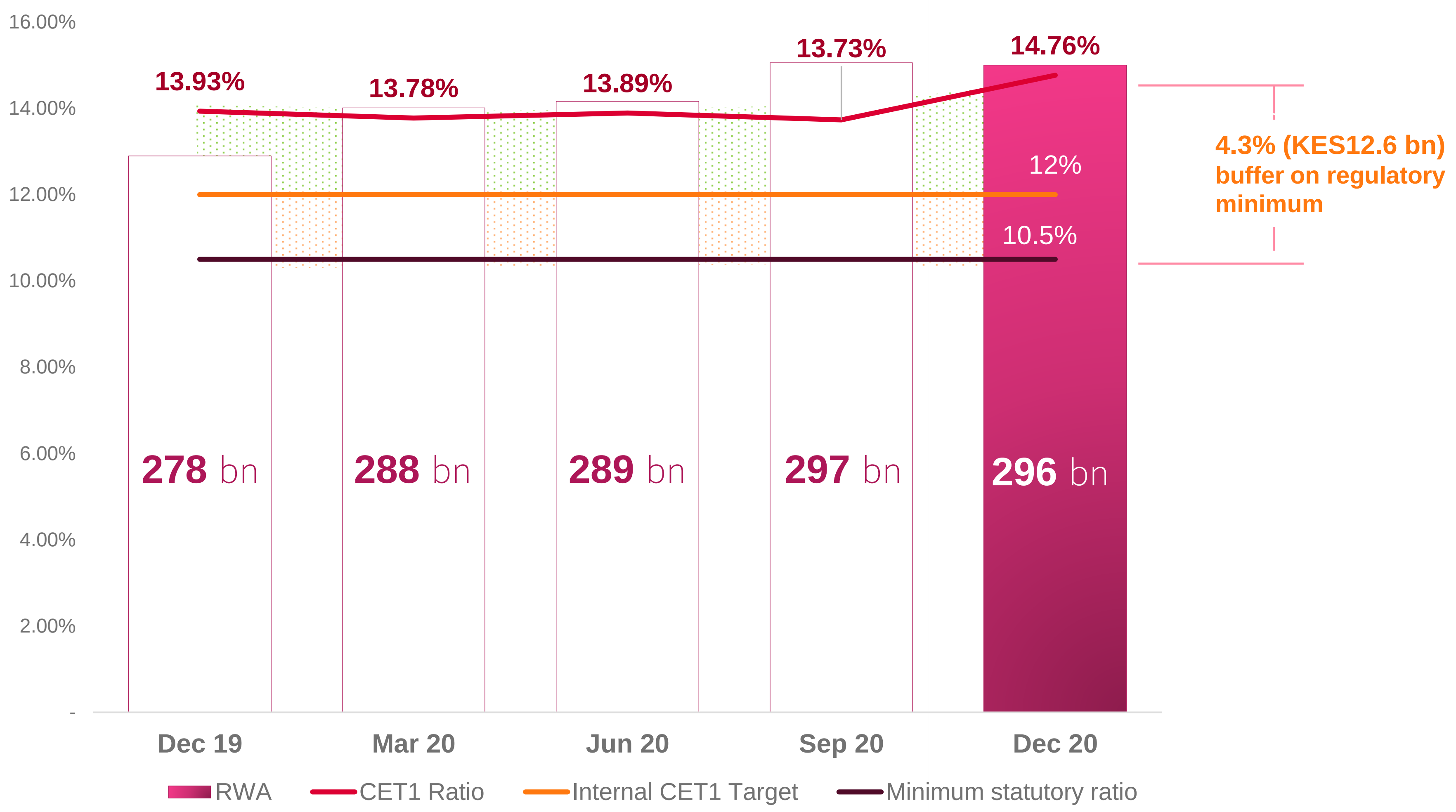
Reported Impairment: Post COVID overlay

- Short-term downside and reduced EPS
- Short-term upside given stress tested capital
- Medium-term upside on recoveries and impairment releases in the event macros normalise
- Medium-term protected downside in the event macros deteriorate

4. Capital Strength:

Stress Testing capital to re-position for medium-term growth, rather than medium-term survival (1)

Strong capital position with capital ratios secured, despite extreme COVID take-on provisions



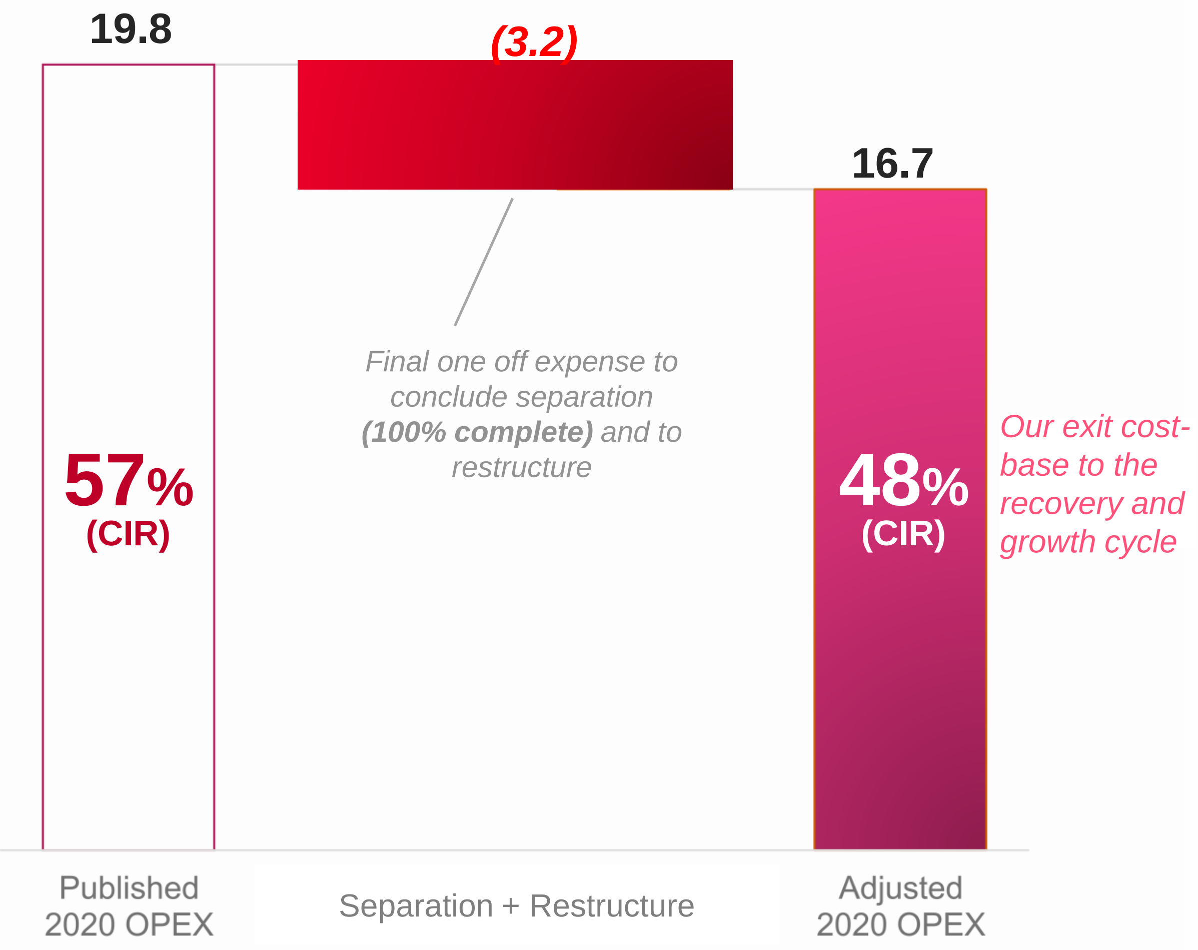
- We are well capitalized with sufficient buffer of 4.3% post taking on 115% increase in provisions and targeting to remain above internal trigger through the cycle despite anticipated balance sheet expansion

Notes: 1. Unlike the Global Financial Crisis where banks were catalysts for the crisis, and needed balance sheet repair for survival, Governments anticipate banks to underwrite the recovery from COVID, therefore the need to stress test and strengthen bank capital positions, for medium-term growth

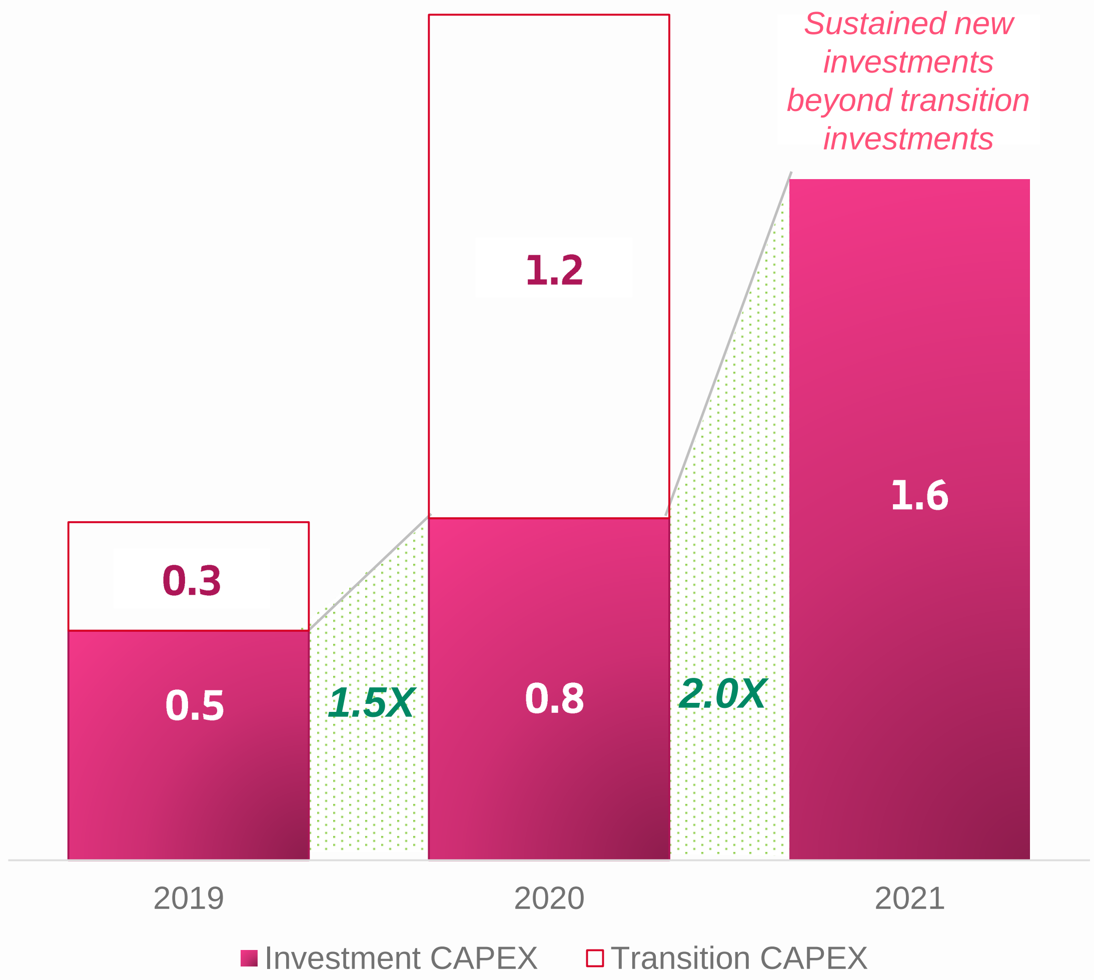
5. Timing the growth and investment cycle: Through deliberate financial options on cash and capital

(In KES bn unless stated otherwise)

OPEX progression : Building a stronger operating leverage for exit from COVID19 cycle



Sustaining our CAPEX Investments (Technology related)



In Conclusion: The drivers of valuation may shift during the transitionary cycle

Pre-COVID period	COVID Transitionary period	Therefore 4 things that we are mindful of…
Income Growth	Pre-provision Profits	Non-performing Loans and portfolio quality (Timing portfolio stress)
Statutory EPS Growth	CET1	Capital adequacy (Securing broader balance sheet strength)
ROE	Approach to (Level of) Absolute provisions	Risk-on vs Risk-off trade-off through 2020/21 (Timing the recovery and growth cycles)
DPS	Positive P&L and Balance Sheet JAWs	Timing the growth and investment cycle

2021 Priorities

Jeremy Awori –
Chief Executive Officer

Our Key priorities for 2021

New Growth Areas
(Timing the growth cycle)

Managing Macro Risks

Step change In customer Experience

Protecting Our core franchise

Repositioning our business model (Transformation)

Repositioning our business model: We are investing significantly to drive a digital future

Kes 2.1 bn invested during the transition to Absa (2019-2020)

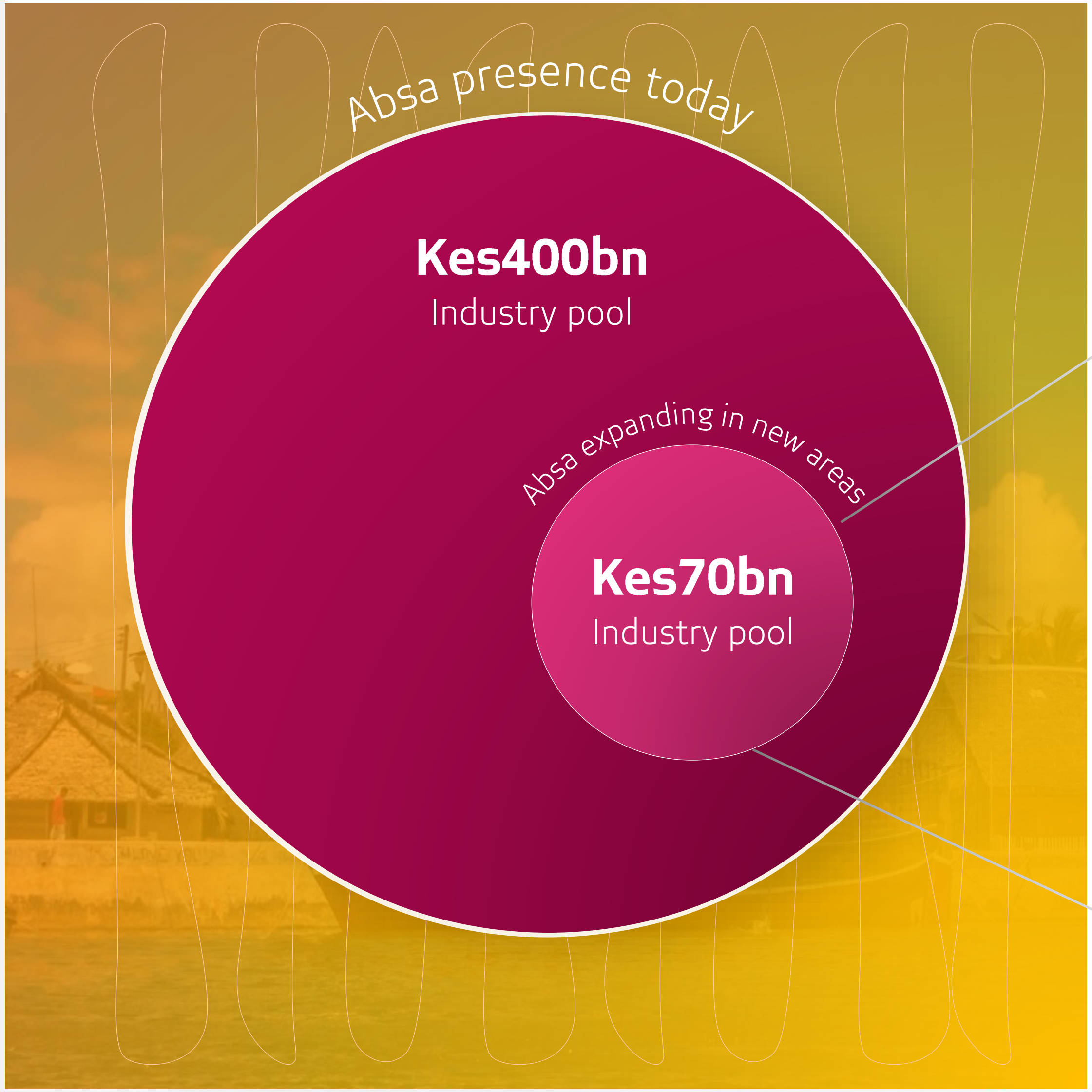
- Banca Assurance App
- Digitization and Automation
- Digital Loan top-ups
- Contactless payment on debit and credit
- Customer forms simplified from 120 to 30
- Upgraded infrastructure leading to better uptime
- 91 Systems

Kes 1.6 bn 2021 investment towards digital transformation

- Digital wallet
- Securities Trading
- Front-end digital assets
- Open-sourced innovation platform
- Stand-alone Digital Banking Division / FinTech
- Diaspora Remittances
- Cash Deposit Machines
- Partnerships
- Cloud Computing

Growth outlook: Protecting our core franchise and pursuing new growth areas

Kes 2.2 bn invested during the transition to Absa (2019-2020)



1. Digital Finance
2. Consumer Payments
3. Asset Management (Retail and Institutional)
4. Expand our Corporate Investment Bank into new areas

Disclaimer

Forward-looking statements

Certain statements in this document are forward looking that relate to, among other things, the plans, objectives, goals, strategies, future operations and performance of Absa Bank of Kenya. Words such as “anticipates”, “estimates”, “expects”, “projects”, “believes”, “intends”, “plans”, “may”, “will” and “should” and similar expressions are typically indicative of a forward-looking statement. These statements are not guarantees of Absa Bank of Kenya future operating, financial or other results and involve certain risks, uncertainties and assumptions.

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